

Pine Labs (PINELABS)

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Call: Dec 2025

Date: December 9, 2025

To,

BSE Limited,
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BSE Scrip Code: 544606
National Stock Exchange of India Limited ,
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051
NSE Scrip Symbol: PINELABS

Sub: Transcript of the Analysts / Institutional Call

Dear Sir/ Madam,

Pursuant to Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the conference call that was organized with the Analysts/Investors on Wednesday, December 3, 2025 and the same can be accessed at www.pinelabs.com/investor-relations/financial-results?tab=quarterly-results .

We request you to kindly take the above on record.

Thanking you,

For Pine Labs Limited

Neerav Mehta
Company Secretary and Compliance Officer
Membership Number: A20949

Encl. a/a

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Pine Labs Limited
Q2 FY'26 Earnings Conference Call
December 03, 2025

Moderator: Good evening everyone. A very warm welcome to the maiden Zoom conference Earning Call of Pine Labs Limited to discuss the operational and financial performance of Q2 FY'26.

We are delighted to have with us today Mr. Amrish Rau – Chairman, Managing Director and Chief Executive Officer. Mr. Sameer Kamath – Chief Financial Officer.

Before we begin, I would like to remind you that some of the statements made during the course of this discussion may be forward-looking in nature. Actual results may vary significantly due to various external factors. This Zoom conference call is intended solely for Investors and Analysts . If we have any members from the media or journalism community on the call, we request you to kindly log off from this session. We will be happy to connect with you separately if required.

We will start the call with the management showcasing a few product demos followed by an overview of the company's business, key operational development and financial performance for the period under review. This will be followed by a Q&A session.

With that, I would now like to invite Mr. Amrish Rau to commence the presentation. Over to you. Thank you, sir.

Amrish Rau: Thank you very much. Thanks for attending our call today. One of the things that we are going to do a little bit differently is we are actually going to do a couple of product demos, just talking about some of

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the things that has been quote -unquote cooking in the labs. We feel quite proud about some of the experiments and some of the products that we are working on. So, we will first do two product demos, and then I will do a very quick overview of the business and how I am looking at the opportunity in front of us, and then hand it over to Sameer, who is here in the room with me, to just walk you through the financials. With that, what I am going to request is I am going to request my colleague to flash a demo.

I will give you a little bit of a background on this one. One of the things which is happening when it comes to online payments, more so globally than in India, is that consumers are finding it very difficult to remember the 16 digits, the CVV, the expiry number. Also, what we are getting to see is transmitting of data just by inputting it on somebody's webpage, instead of using card, is generally less secure and also more costly. So, we have come up with a completely new online payments technology where we think you can use your card, touch it to your phone, and the payment transaction can be completed. This is on the consumer side.

Let me s

how you a demo of what we built together. We have actually gone ahead and patented this technology. We are now trying to figure out how we could do a GTM for this, both globally and in India.

Audio Visual Presentation

"Online shopping is fast and easy. One -tap orders, instant deliveries, everything happens within seconds, except the payment part. There we are supposed to remember the card number, the expiry date, the CVV, and then wait for the OTP, which adds friction to your so -far seamless experience. We at Pine Labs wanted to bring the tap -and -go experience at the online checkout, therefore launching Tap to Pay Online by Pine Labs. Go to any online shopping app, be it e -commerce, ride -hailing, or food delivery. Simply select your product, go to the checkout page, and where it says payments, select the Tap to Pay Online. This invokes the NFC of the phone. All you have to do is take your card and tap, and done. Faster, secure, and more convenient. No need to remember the card number, no

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need to save your card number, no CVVs, no OTPs. We at Pine Labs want to turn every phone into the fastest checkout experience on the internet. "

Amrish Rau: As I mentioned to you we have got a patent for this one. Now we need to figure out what is the GTM? So, this is some of the experiments that we are doing on online payment site. Also want to talk about what we are doing on the pre -paid side. Everybody thinks of us from the pre -paid side as purely as a pre -paid card, debit card or gift card. But we do a lot of work from the wallet side where we actually end up storing money. One of the concepts that you would have seen around the world is also about how money is becoming programmable. So, what we did was , we said, how can we make our wallets programmable and deliver value through that? And this is a live example of what we are doing for Air India, where in the case of Air India, we manage the entire wallet for Air India, but we have also come up with very interesting use cases around it. I am going to let one of my colleagues, Anand, explain to you what we have built for Air India.

Anand Kuppaswamy : Thanks Amrish, I hope my screen is visible. Amrish laid the ground here. I would say that you probably know us as the pioneers of gift cards in India and globally with prepaid also being there . While that has been the case of it, I am going to today talk about the programmable currency. What programmable currency really means is that a currency that can be used for very specific purposes. Now stable coins and CBDCs have been in the headlines for some time now and they call the programmable money as a big part of their vocabulary. But what we have been doing successfully so far, many many

years now, is to use the same concept to bring up through the stored value constructs and the prepaid card constructs the programmability of it. I am going to show you quickly how Air India, in a very interesting way, use the prepaid constructs to solve their business problems through our abilities. So, for this example, just a moment, assume that I am a US-based individual who frequents to India. I have just done a cancellation of a ticket that went on to be refunded to me in a cancelled amount from Air India and it is sitting in my Air India wallet. What you will see now is that I, as a consumer, go on to the

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website of Air India and I could come to this path many different ways, but I just wanted to show you that when you click on some of these paths, Air India will flash that this particular program is run by Qwiksilver, which is the Pine Labs issuing part of

the business and taking it to a site where this particular site is entirely managed and operated by Pine Labs for the benefit of Air India in the technology sense of it. Within this is an embedded wallet that can be used for different purposes. I am just going to quickly move around without trying to show you the specifics here and showcase that this particular element is already loaded. I am sorry, just hold on for a moment as I move the browser out. Yes, let us say that I have already logged in and I have a logged in session in terms of what I can achieve. So, what you see here is really because I am based in US, I am able to see a US dollar denominated wallet that is belonging to me and that is the base currency that has been defined and what it really means is that we have provided a product that is globally usable by Air India in this particular case. Now what you will also get to see is that this is not a singular wallet, it has its own different ways and purposes of using this particular program for Air India. There could very well be different pockets like one that is related to gift cards where my friends and relatives have given me some gifts that I get to store here. There are compensation vouchers that are provided for some service that has not been provided satisfactorily and there is a goodwill gesture of providing the currencies and there are refunds and cancellations that have happened. Underneath each one of these things are different instruments. They themselves are an aggregation so there are very very granular ways that the program can be structured and run by the airlines.

Quickly I will also demonstrate to point of view to say that let us say that in one of the trips that I made to India I happened to have a refund that is kind of captured here as a INR 15,000 worth of it but remember that I am a US based traveler so I need to understand as to what exactly happened when this particular value comes into my base currency which is the US dollars. What we provide for is an automatic conversion of a foreign exchange here, ability to understand as different currencies into the same pocket and this is

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a significant value, a significant benefit for Air India in structuring and delivering programs for the global consumers.

Let me now quickly move on to the aspect of the interesting note of programmable currency that we spoke about. I am getting into a refund scenario where some of these instruments have been issued to me and here is the more interesting part of how the voucher program runs for airlines. What you could see is that this is a voucher issued but very very specifically meant for certain use cases or specific purposes. So, this particular voucher has been constructed in a way that it can be used for only certain routes within which this can be applied. It is not possible to use in certain particular dates which are called the black code dates maybe for managing the peak seasons and it is not transferable. The same person who traveled with the PNR number of a certain number is the only person who can make use of this particular voucher. This kind of a construct of making use of very very specific purpose-bound mechanisms are what makes these vouchers and currencies unique and allows the airlines to administer very powerful programs that are otherwise not possible with traditional systems. These

conditionalities are also the ones that allow for very targeted promotions, revenue assurance programs, margin management programs on the same platform. So, what you are getting to see here is really in another way an airline making use of a configurable element of platform. The same platform that we have been able to use it as a very universal program and can achieve multi

ple use cases across various industries. For example when a government be it a central government or a state government wants to give a direct benefit to a particular individual that can be used only for a healthcare benefit. We could issue a currency which is programmatically managed in such a way that they get accepted only in health center locations.

So, now let me quickly move on to show how this particular voucher can be applied on the purchase path of the trip which is my next trip and I am going to make use of a quick video to demonstrate knowing that we are running out of time here right. So, I am going to run the video and parallelly speak about

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it if that is okay. So, here you see that I have a card, a voucher issued, a refund. As we spoke about there are specific dates within which we can apply it or not. I go to the main site, choose a Delhi San Francisco flight in the month of March which that particular voucher that I happen to select had a black code date. So, when I go on to now apply that particular mechanism in the payment path, I choose the wallet as my means of application. You will get to see that the voucher cannot be applied because of the black code period that has been done. This is a very instantaneous recognition by Pine Labs in terms of what is possible or not possible to be done. Now if I change my mind and say like I want to travel in January, choose the same path which is outside the black code date, it gets applied and we can continue to work through in terms of whatever the value that was presented by the voucher.

So, what I really demonstrated here, I just want to quickly recollect, is to say that we offer our customers a full stack programmable currency platform and this is usable across our issuing, processing, distribution and solutions that we support, every bit of conditionalities and a multi-currency mechanism that allows to deliver contextual commerce, be it for airlines, government, retailers and any bit more. So, as the world is today talking about stable coins, CBDCs with programmable currency as the future, Pine Labs Issuing business I want to mention that is already delivering to that context today in production for enterprises like Air India and the same thing is extensible to a very different and very big audience of use cases and industries and that is us on the Pine Labs Issuing side of it.

Thank you. Back to you Amrisha.

Amrisha Rau: Thank you Anand and great job on the timing. Guys now moving on to the other part of the discussion which is really the financials that we came up with. So, we have got a formal deck which is very similar to what we have sent out as our earnings report. So, I would like to talk you through how our quarter has been. As you know, quarter two and quarter one are generally the softest quarter in the four quarters of the year. However, what I am glad to inform you

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that we have had a fairly powerful start and that is what we will share with you just now.

Just a few initial slides, I want to remind everybody what is our vision statement. We want to build the best commerce and fintech platform from Asia but we want to build it for the globe. I also want to remind you that we are a fully diversified fintech platform operating in all areas from Online, Offline, using the Digital Payments Infrastructure. We just saw what Anand explained about the Issuing platforms and the opportunities on the Issuing platform but also in terms of revenue, we continue to be extremely diversified between merchants, banks and financial institutions and also enterprises, corporate

s and brands.

Something which we did not talk enough about and I wanted to take the opportunity to mention here. Pine Labs is one of the only companies which is powering all the top five banks in India. Every one of them uses Pine Labs platform and we are the dominant partner, point number one. Point number two, when it comes to the top five retailers in the country, we are a dominant partner. We are not number two to anyone in that space. In the case of the top three petroleum companies, we are with all the three petroleum companies, may that be BPCL, HPCL or IOCL. We power all of these three petroleum companies in the country and when it comes to online payments, bill payments and also the whole prepaid card instruments, we today have deep relationships with all the top three e-commerce companies of India. Also, with all the three Q-commerce companies of India, Pine Labs is the sole provider. So, one thing I do want to highlight is there is no other payments company in India which is actually delivering solutions to all of these large stakeholders in the country today.

Again, in a very quick recap of what we do, we pretty much call out four large pillars. One is what we do in terms of transaction processing, both in the offline world and in the online world. In the offline world, as you know, we have a large component of revenues which comes out of subscriptions, rentals on a monthly basis. When it comes to VAS and Affordability, we do a range of

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services on and above the merchant relationships that we have built. Here we take a peak rate on the value which gets processed on our platform. One of the things that Sameer is going to tell you is in the first pillar in Q2 on the terminal, the subscription and rental related revenues is now down below 30%. It is at 29%. So, 71% of our revenues are not linked to subscription and rentals associated to the POS business. I have been taking a bet with my colleagues out here. I said whatever we say at the end of this call, when the Q&A starts, the first question will be about the POS business. Let us talk about the 71%, what we are doing outside of the POS rental business. The third component is what we do on the DPI side. On the DPI side, when it comes to fintech infra, we continue to power a humongous amount of payment volumes when it comes to bill payments. We are powering many API based transactions on consumer identity. We, in this case, get paid by the API ping or we do get paid by the number of transactions there. And finally, on the Issuing side, we are one of the global leaders when it comes to Prepaid, Issuing, processing, both in terms of prepaid as well as gift cards. We are doing a lot of work on the credit card side. We are doing a lot of work on credit link UPI. So, that is what we typically do. I just wanted to cover it. These two slides will typically be the main my opening introductions.

Going into this quarter and what we are doing as in terms of the results for Q2, we actually came in with record breaking numbers on all fronts. By the way, I have to tell you this, if I am not mistaken, over the last six quarters, we have generally come in with record breaking numbers when it comes to revenue, when it comes to contribution margin. Our revenues grew by about 18% and we hit a number of about INR 650 crores. I want to again remind this because I have seen some analyst reports where I think there is some sort of a disconnect. We continue to record our revenues on a net basis. What I mean by that is we take out the payment processing cost and we only record the net numbers. And hence what we call as net revenues or globally, this generally gets called as adjusted revenues. And that is where we came in at about INR 650 crores because

we have taken out anything related to pass through revenues there. Second, interestingly, contribution margin grew at 21%. So, how does this happen when the revenues are growing by 18% while

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contribution margin is growing by 21%. The reality on this is over the last two years, we have been working very hard that the subscription revenues that we earn largely remains on the software side. And we encourage Banks and Financial Institutions and Merchants to buy hardware on their own. Because

of that, what happens is there is a lag effect out there. So, while revenues have grown 18%, contribution margin has actually grown by 21%. Now that has multiple benefits which Sameer will talk to you about. The adjusted EBITDA actually came in at 60% plus improvement on a year-on-year basis, we came in at about INR 122 crores of adjusted EBITDA. And what we have now been able to do is we have now been able to deliver back to back PAT of about INR 6 crores in our business. Now this is coming on backs of some solid performance.

So, on the platform side, we came very close to about \$50 billion of GTV processed on our platform. One thing which is real is if Pine Labs is present with any merchant, any bank and financial institution or any enterprise, we are choice number one. There is nobody who is beating us today. We are winning when it comes to the marketplace. Even when it comes to a number of transactions that was at about 1.9 billion, the total touch points reached about 1.9 million. And we have crossed the number of about a million merchants and corporates which are working with us. Net-net, very, very powerful execution in seasonally weak quarter. The H1 is now past us. As you know, in quarter one, we came in at about INR 121 crores of adjusted EBITDA adjusted only for ESOPs. And in this quarter, we have come in at INR 122 crores. Now the seasonally strong quarters of Q3 and Q4 are starting off. I am really looking forward to how this Q3 and Q4 goes.

With that, I am going to hand it over to Sameer for the next few slides.

Sameer Kamath: Thank you, Amrish. And thank you everyone for joining in. I will take forward from what Amrish was saying. The four pillars that we have continue to deliver stellar growth of almost 18% for this quarter. As Amrish said, we are reiterating again, we report our revenues net, which means that all network charges and

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other processing fees, etc are netted off from revenues. And that is translating into a very high contribution margin of close to about 77%.

Coming to contribution, if you see that this quarter, we have delivered a 21% year-on-year growth on the contribution side. And some of that is largely driven by our conscious strategy to build on certain high quality, high value tech-based revenues and slightly lower the take on the hardware sales that is a component of our top line. Overall, as Amrish said earlier, there is a seasonality element to our revenues. However, this quarter, despite being a non-seasonal quarter, we have reported a 9% growth over the peak of last year's full quarter and also a 64% growth on a two-year basis.

Coming to some specifics, some of our new business initiatives like the Issuing and the VAS side have delivered a 30% plus growth margin. And our international business, which is seeing a lot of traction, where we earn in dollars for almost every transaction that we do across Southeast Asia, Australia, UAE, and the US, continued its growth momentum, registering a year-on-year growth of close to about 30%. Again, reiterating our POS-based revenues, which is driven by

subscription is about 29% and 71% comes from SaaS and tech-based services.

Coming to adjusted EBITDA, our adjusted EBITDA grew at about 3.4x the growth rate of revenues, that is about 64% year-on-year, registering a margin expansion of 500 bps from about 14% a year back to 19% this quarter. In fact, even on an H1 basis, on a total basis, our adjusted EBITDA is about 50%. This expansion is led by a conscious strategy to improve our value-added tech-based businesses and drive productivity gains at scale. We do believe that these margins are sustainable and can expand as businesses build scale. Similar flow-through has happened at the PAT level as well, where we delivered two quarters of consecutive positive PAT. The operating leverage has clearly been visible and this quarter we have reported a PAT of INR 6 crores, which against a loss of INR 32 crores reported a year back.

Coming to some of the levers which have been driving operating leverage, over the years we have been able to demonstrate revenue growth without a

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significant increase in headcount or employee cost. This has been achieved through a conscious effort to drive productivity through use of AI and operational efficiencies. This is also now reflecting in our ratios as employee cost as a percentage to top line has significantly come down to 37% for this quarter versus almost 50% two years back.

Our overall headcount also has marginally increased by only 6% which is about INR 4500 crores. Our tech, engineering and product team is roughly about 1000 people strong and we do not expect any significant headcount increase as we scale our businesses across all the four pillars. Our operational team remains at the same headcount level which is a validation of the operational efficiency that we will bring in.

ESOPs is an important component of compensation for our employees. As we step into the public markets, we have taken a conscious call to align ESOP issuances to shareholder value creation, which also helps value for all shareholders including the employee ESOP shareholders. The new ESOPs are now done at FMV versus deep discount that was done earlier and that is translated into a lower P&L impact. The overall effects of this change is reflected in our P&L where ESOPs cost as a percentage of revenue has come down to about 4% from 7% a year back.

Depreciation, I think we continue to win exciting mandates on the asset-light businesses. Few examples to just reiterate this point. Emirates NBD, one of the largest banks in Dubai has taken us as a tech platform provider for the acquiring merchant business across the entire Dubai where we have zero CAPEX deployment but entirely a tech stack led business growth. Similar arrangements are seen for example in GCash in the Philippines and CIMB in Malaysia. One of the largest banks in India is working with us now on fully us providing a tech stack versus a POS plus a tech kind of initiative which is making our business more and more asset light. As a consequence of all these conscious shifts, we have seen a significant reduction in the CAPEX dependency of our business which is also translated into a depreciation as a

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percentage of our revenues coming down from 12% of our top line to about 5% over the last few quarters.

Going to the next slide. I think this is an interesting slide where we thought how should one look at our business from an operating leverage perspective. With scale and build out of the tech led high margin businesses across India and international markets, we are definitely going to see operating leverage play out. We have

built a small matrix to give you a better understanding. For every incremental contribution mark of about INR 100, we are going to see almost about INR 50 to INR 57 and we are giving a range of that getting translated into adjusted EBITDA. That is because of incremental contribution. Our incremental employee cost will only be about 35% to 38% including employee cost, the tech cost, etc. Obviously, the other infrastructure cost will be another about 9 to 12 bucks. Therefore, a very high number of INR 50 to INR 57 for every incremental INR 100 of contribution margin earned will flow through the adjusted EBITDA.

Moving on to how it will translate to PBT. As I said earlier, the conscious strategy around the depreciation CAPEX and ESOPs is also going to translate into a better flow through to PBT. A similar translation will happen from adjusted EBITDA to PBT and there will be marginal savings across other expenses which are there which means from the incremental contribution margin of INR 100, we can expect in a range of Rs.45 to INR 55 translating as a flow through to PBT. So, as business builds operating leverage and scale, you see our profit and EBITDA margins improve significantly from here on.

Coming to some specific business related KPIs and how we look at how these are shaping up as we build into the quarters.

Coming to the in-store business, Pine Labs is a market leader in the enterprise and the mid-market merchant segment who have very unique and complex needs and require a solution approach to build long-term sticky relationships. To give some examples, almost every hotel chain in India today trusts Pine Labs for its checkout experience as we have built deep integrations into their portfolio management ERPs which help them provide seamless

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checkout experience for their guests. Large retailers trust us because we have helped them build and manage multiple banking relationships into a single POS with full flexibility while integrating multiple backend ERPs to provide them periodic reconciliations and MIS. This demonstrated mode has helped us expand our DCP footprint now to 1 million plus merchants as Amrisha was saying it is a milestone deployed across 1.9 DCPs which is a growth of 19% on a year-on-year basis. Having said that, an interesting fact is that the potential is still highly untapped. Only one out of the four DCPs today actually are active on value-added services and affordability which means there is a huge potential within our existing network to kind of scale up these businesses because the same DCPs are the DCPs on which these rails run. Having said that, the overall in-store business is about 29% of our top line.

The value-added services business continues to grow at a massive speed.

We have grown our volumes at about 37% on a year-on-year basis. This quarterly momentum is driven by a unique position to bring together 400 brands and almost about 40 credit institutions to our affordability platform.

While we continue to see strong growth across consumer durables and the mobile segment, we are also seeing meaningful growth across new categories like automobiles, furniture, fashion, healthcare, and wellness. We continue to keep innovating in this space and in this quarter we have launched new products like offers on UPI and EMI World Pro.

Having said this, we are also significantly scaling up our online platform gateway. Our online payment aggregator business has seen a 75% year-on-year growth with partnership with some of the largest e-commerce platforms now use the Pine Labs plural gateway. This includes the likes of Myntra, Meesho, Big Basket, Swiggy, Lenskart, to name a few.

The Fintech infrastructure business operates some of the best-in-class tech platforms

across bill payments, UPI, and the account aggregator framework.

We partner with some of the largest bill processing institutions across both ends of the spectrum that is the Biller Operating Unit and the Consumer Operating Unit, making us probably the top two players in the segment.

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We also power digital KYC and customer validation for some of the largest financial services firms through the account aggregator framework. And our platform is operating at scale with this quarter about 275 million transactions processed in Q2 itself, which is an 80% growth year-on-year.

Lastly, coming to our Issuing and Acquiring platform, we have seen some of the use cases that Anand presented earlier on in this presentation. It is one of the fastest-growing segments within the payments industry at about 26% and Pine Labs is a market leader in this segment. Our overall volumes in this segment grew at about 25% to about INR 16,000 crores with an improving take-rate. What differentiates Pine Labs in this segment is our ability to do deep integrations on workflows across multiple use cases of wallets, refunds, transit, and we are partnering with brands to also expand their distribution footprint.

The India business within Issuing grew at about 31% powered by its strong partnerships with top e-commerce companies and quick commerce companies in India. Our international business in this space also grew by about 35% year-on-year. We have built meaningful presence with key client wins across Australia, say Woolworths in Australia, the Al-Futtaim Group in the UAE, Capita Land in Southeast Asia are some of the large wins that we have had which are kind of fueling this growth. We have been able to establish strong use cases and you have seen today Anand presented now 18 airlines globally use Pine Labs as their trusted partner for their wallet business. We have a proven track record of winning and successfully implementing programs across international markets and we remain extremely optimistic on the size and scale of this opportunity.

With this, I kind of come to an end to our formal part of the presentation. We

open up the floor now to the moderator to invite questions and we are happy to take them.

Moderator: Thank you, sir. We will now open the floor for question and answer session. We have our first question from Peran Engineer.

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Amrisha Rau: Hi, Piran. Go ahead, please.

Peran Engineer: Yes, I am unmuted now. Yes, congrats on the quarter, another second quarter of profit and thanks for this detailed PPT. Just firstly, I wanted to understand in the INR 63,000 crore GTV in the VAS and affordability platform business, how much of that would be lending and what else is there apart from lending in that?

Amrisha Rau: So, first of all, it is not lending. What we are doing out there is basically powering for affordability solutions where we do not take any balance sheet risk, we actually power for other banks and financial institutions on our platforms. In terms of GTV, I would say somewhere around one third of the volumes would be coming out of affordability, two third of that will come out of the rest of the services. In rest of the services, we have everything from classic aggregator related revenues, we have revenues which is related to UPI and any fees which we get on UPI transactions. We also have things like other fintech partnerships we might have in the market with some of the Q-commerce companies or some of the consumer fintech apps out there or Sodexo and that would be all about two third of the platform.

Peran Engineer: Got it. Okay. Thanks,

Amrisha Rau: And this one third, which is the affordability bit of it that would be majority of the revenue from the INR 63,000 crores? I am sure it would be one third, two third revenue split also.

Amrisha Rau: No, it is actually, I would think that it is reverse, which is, it would be somewhere between 50% to two third of the revenues, that sort of a range it will be in.

Peran Engineer: Of the revenue from the VAS and affordability platform part of it, right?

Amrisha Rau: That is correct.

Peran Engineer: Got it. Okay, fair enough. Secondly, your plural business, GTV, Sameer mentioned it grew 75%. Where exactly is that? Under which section is it put in?

Sameer Kamath: That section folds up under in-store and online Piran, where we basically report two kinds of revenue streams, which we, it is the subscription-based

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revenues, which we earn on the POS devices and the online we earn as a percentage to the GTV done.

Peran Engineer: Got it. Okay. Fair enough. Yes, that was it from my end. Thank you and wish you all the best.

Amrisha Rau: Thank you.

Moderator: Participants are requested to mention your name and organization before asking your question. Our next question is from Mr. Keyur Kumar.

Amrisha Rau: Go ahead, Keyur. Keyur, you are unmuted. You can go ahead with your question.

Keyur Kumar: Hello. Am I audible now?

Amrisha Rau: Yes.

Keyur Kumar: Congratulations on good sets of numbers sir and for the new tech development. So, my question is from this 25% of the DCP contribution, which is coming from the VAS. So, right now we are including that the further development will happen through the VAS. So, I just wanted to understand that this contribution will be come from the like chain businesses and all, right? So, how is the TAM is basically here, because the machines and the POS will be also on the single merchant sites?

Amrisha Rau: Yes, very interesting question. You know, your voice cracked a bit, but what I am going to answer is, if you actually look at our earnings, really, we have actually come up with a new set of numbers, so that it gives you more clarity. What it says is that out of the 1.9 million touch points that we have in the market today, about 24% to 25% of that has at least one of our services added on to those terminal platforms. So, may that be an aggregator or DCC or affordability or any of the consumer apps. So, only 25% of our terminals today

are contributing to the value added services which exist in our business. And that is the opportunity for us. You would also see over the last five quarters, that number has moved from 21% of the total DCP base to now 25% of the

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total DCP base. Having said that, on the other hand, when it comes to transaction value and volumes that has grown by almost 37% , while the number of DCP has only increased from 21 % to 24% across the entire DCP base, it has been explained well in the earnings report that we have sent out.

Keyur Kumar: Okay. And another thing is sir, like, in our gifting, the issuing, the acquiring platform. So, it should be like, it is coming with the new logos and on boarding and all the things, right? So, if you can provide any quantitative number, like, how is the per logo ticket size varying or means the coming from the revenue?

Amrisha Rau: We have not shared that information right now and we are not in a position to share that. Just in terms of, just in terms of understanding on that one is, you could very well have a logo which could be a chain of 10 restaurants. But at the same time, you would also have a logo as big as something

like a

Meesho, which is actually a client of ours. But you could have just two extremes of it and the revenue expectation out of them could completely differ. And hence, we have not actually explained what is the per logo revenue for our issuing business.

Keyur Kumar: Okay, got it. But can you share the, like, how many logos we have right now?

Amrisha Rau: Sameer , you have a number to that one?

Sameer Kamath: I think we have multiple logos there.

Amrisha Rau: I think about 650 is what I would say as the highlight. Do not hold me to that. I will get you more information.

Keyur Kumar: Okay. And lastly, on the tech side, you have developed the tap and pay. So, I understood from the RHP and all that we were very aggressive for the payment gateway segments for our new vertical, right? And now your tech basically shift that vertical entirely if we compare with the other players, right? So, first thing, because this is like a new tech, how you are developing the security side basically, because this feature unlocks very much of potentials for our business, but also enables the security sides. So, how you are

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developing that thing? And on more level, you can explain about the GTM you are thinking right now for this tech.

Amrisha Rau: Fundamentally, let us understand this piece that the technology required in the offline payments business is way more complex than what is required in the online payment side. As you know, over many, many years, we have invested into building out highly secure platforms when it comes to offline payments. When it comes to online payments, I would want to think that 90% of our technologies have been able to be reused on the online platform side. And hence, we think our platform is as rugged as the platform that we have in the offline world. In terms of security, we follow the best standards which has been laid out there by governing bodies in terms of security only, but also in terms of what the local bodies and the local regulators have asked for. As far as GTM is concerned, as Sameer mentioned to you before, we have some great new logos already in place when it comes to online payments. We just announced some days back, Lenskart has already gone live with us on our platforms, Myntra is live with us, Cred is live, Apple resellers are with us, Samsung.com online is entirely with us. We are making tremendous progress in asset-live businesses, may that be on the bill payment side or may that be on the online payment side.

Keyur Kumar: Okay sir. And lastly, should we expect any upside on the headcount on future?

Amrisha Rau: See, you know, one of the things which we actually wanted to talk and I guess both Sameer and I forgot to mention out there is that in our company, we have totally about 1000 engineers, technologists and product managers in the company. I do not know why it would require more than 1000 people on the engineering and technology and product side. So, short answer on that one is the answer is no. The longer answer on that one is in the next quarter,

we will actually talk about some of the AI -related initiatives that the company has taken up. Today, we believe 18% of all code which is being written in P ine Labs has been developed using AI. We are bringing a lot of AI on our customer services side. We are bringing a lot of AI in terms of rewriting our l egacy code on some of the platforms that we have out there. So, the short answer is, I do

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not think we are going to be requiring more head count in our business. And that i s the reason we wanted to very clearly show to you that for every rupee inc

rease in the contribution margin, how will that flow through on the EBITDA and on the PAT side.

Keyur Kumar: Thank you, sir. And all the best for the future.

Amrish Rau: Thank you.

Moderator: Thank you. Our next question is from Mr. Arjun.

Arjun: Thanks for the opportunity. With respect to the value -added services p art, out of INR 650 crores, 29% is POS. So, within the Digital Infrastructure , out of INR 440 crores, the remaining around INR 251 crore wou ld be the Affordability and VAS revenue?

Sameer Kamath: It will be Affordability , VAS and also the Fintech Infrastructure , Arjun. I think we combined three items with it, as you rightly said, f our items. There will be the POS business, there will be the online business, there w ill be the Affordability and VA S business and the Fintech infrastructure business. So, the PO S machine, which is one of the four components within the digital infrastructure is about 29% of it.

Arjun: Okay. So, I was just trying to understand the take rate or realization in the Affordability business, which was, which used to be around 39 odd bps. Now, out of this INR 440 crores and INR 63,000 crore of GTV, how the realization over here has been in the first half and how has it panned out in the festive season, October, November, etc. And means how much is the kind of traction after the GST cut, etc, in October, November, how do yo u see this Affordability and VA S business playing out on realizatio n and the GTV, if you could give some color, it will be helpful. Yes .

Sameer Kamath: So, the realization across the segments have been more or less constant. There may be slight change in the mix here and there, like, for example, UPI may go up and the yields are lower. But intra -segmental yields have remained fairly constant in line with what we have put out in the DRHP as well.

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As far as the traction post Q2 is concerned, I think, as we said that the first two quarters are slightly muted, we ha ve seen good respons e in the Diwali season where we ha ve seen peak volumes come in. Obviously, as our next quarter results come in, you will probably get a better clarity now the quarter is underway. But yes, I think, even in the first two quarters, we have seen meaningful traction. And that is why even in H1 versus H1 of last year, we have seen meaningful growth of our GTVs while take rates continue to remain at the same level.

Arjun: Okay. So, broadly, we can assume out of this INR 440 crores, around INR 250 odd crores should be your VA S and Affordability revenue from there.

Sameer Kamath: Plus minus that range. Yes .

Arjun: Okay. Fine. Okay. And could you give some idea on the market share that is there in this business? Because we also see competition getting into this.

Amrish Rau: Yes. So, in this space, look, I will say that for the longest time we have been above 80% of the market share. We just did a recent report on that internally not ready to be shared externally. We continue to believe that we have about 80% to 85% of the market share in this space.

Arjun: Great. Sure. Thanks, Amrish. Thanks, Sameer. Thank you so much.

Amrish Rau: Thank you.

Sameer Kamath: Thank you, Arjun.

Moderator: Thank you. Participants are requested to mention your name and organization before asking your questions. Our next question is from Mr. Mitul Shah.

Mitul Shah: Hello, sir.

Sameer Kamath: Hi, Mitul. Go on.

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Mitul Shah: Congratulations. First of all, I am from Ahmedabad. We have talked during our roadshow that I will be there. And thank you for the wonderful, wonderful result. I am so happy to see

you on this call. And you told me that you will provide the best of the disclosure and you did it. So, this is you are the only company who have done the conference call like this. So, I am really happy that I am an investor, as well as my fund is invested in yours. And second, I want to understand. My question is, QR based payment system in China and everywhere I go, the QR based payment system is taking over than the POS. Everywhere I am going, I am seeing the trend. So, POS is our fairly, you know, large contribution. So, when we are shifting or how we are coping up with that, that is my basic question.

Amrith Rau: Mitul, I will give you a very interesting fact, which again, I do not need to be disclosing out here, but I will just share with you. Very interestingly, today on our terminal estate, almost 66% of all transactions on our terminal estate are actually QR based transactions. So, what we are getting to see is large merchants still are looking for having a screen at the checkout, both to publish the QR or to accept cards. So, in a very interesting manner over the last two years, while you have seen the growth in our DCP on the business, our transaction mix has already changed where 66% or two third of my transactions are today coming on the QR side. The other thing is how UPI and what UPI is going to do to our business. I have actually answered that in the earnings report. Mitul, I do remember having met up with you. I want to make another comment out here. In my personal CEO letter, I have actually talked about my experience of some of the questions I received in Ahmedabad and Rajkot. So, have a look at my personal note also, which I sent out at the end of the quarter.

Mitul Shah: Yes. I am so happy that you have remembered all those questions and you have written it. I am really happy.

Amrith Rau: Thank you, Mitul. We will talk later.

Mitul Shah: Yes. Thank you.

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Amrith Rau: Thank you.

Moderator: Thank you. Our next question is from Mr. Pranav.

Amrith Rau: Hi Pranav.

Pranav Kshatriya: Hello. Hi. Can you hear me?

Amrith Rau: Yes.

Pranav Kshatriya: Thank you for the opportunity. I am Pranav Kshatriya from NK. My first question is, I see a very strong growth in Issuing and acquiring business, especially in the international geographies. And my understanding is that we possibly have a slightly inferior contribution margin in the international geographies, but it seems that despite that the contribution margin for issuing and acquiring business has increased despite the strong growth. So, how should we see this business panning out in three to five years' time? And what is your view on that?

Sameer Kamath: So, just to say, I think we have been making approach into a lot of new counters because of the use cases that we have been mentioning, Pranav. I think the take rates are slightly lower in the international business because as we know that our business is a take rate business, which combines the work we do not just on processing, but also distribution. We have a far stronger distribution presence in India. And therefore, there is a slightly higher contribution from the distribution part of the business, which comes in India. As we build our capabilities and we build scale across counters in the international geography, we should see some more take rates going up there. So, I think intra-segmented take rates remain the same. It is just that our distribution strength is stronger in India. And therefore, we get little higher revenues in India.

Amrish Rau: What I will add into this one is that over the last couple of years, one of the reasons why you were getting to see the India business a little bit muted when it comes to the prepaid side of the business was because there was an overhang related to GST and application of GST on gift cards. In January of

business was because there was an overhang related to GST and application of GST on gift cards. In January of

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this year, the government of India clarified that gift cards do not attract GST. And because of that, we have again started to see a lot of brands pushing out gift cards. Gift cards are being actually distributed at a much aggressive level. If you actually see the quarter-on-quarter between Q4 of last year and then Q1 and Q2 and the first half of the year, you would see that the India numbers have started to come in with significant year-on-year growth also on the prepaid issuing side.

Pranav Kshatriya: Great. My second question is on the Affordability side. In your letter, you mentioned that Q2 FY '25 was unusually strong quarter. But what I understand is that last year actually the entire festivity was in Q3 and Q2 was relatively quieter. So, what is the disconnect? Just curious on that.

Amrish Rau: It was related to some one off large deals which we had pulled together in Q1 and Q2. Look, one of the reasons why I did not specifically talk about it right now, because honestly, our job as operators have to continue to power on and win market share as much as we can every year. But we just wanted to give a color because what could happen is people get fixated only on the number of year-on-year growth. But we thought, let us just clarify that when you look at what is happening on the hardware and the reduction in hardware, contribution margin is growing at 21%, revenues are growing at 18%. And we had a little bit of a base effect which came from last year. And that was largely because of some lump sum business which came through in both in Q1 and Q2 actually. I personally believe that when you look at a Q3 and Q4, the base effect would have gone away. What we had coming out of last year when it was Q1 and Q2.

Pranav Kshatriya: Okay. The second part of that question is on Affordability and VAS GTV. There was a GST cut which happened, which sort of propelled some of the spends for TV. Was there some impact of that in Q2 because it came on 22nd of September? And should we see further acceleration in Q3 because of that?

Amrish Rau: So, there was a marginal impact, but it was both positive and negative. So, what happened is as soon as our Honorable Prime Minister Modi Ji actually announced that the GST rates are going to get changed, we are almost 15

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days of complete slowdown when it came to any purchases in the markets. And we had basically transaction volumes completely drop off. I think it was around 22nd of September when the new GST rates kicked in. So, we had about an eight days which came in more or less, I would have said it would have netted off the spectacular rise that we had in the, sorry, netted off the drop that we had in the early part of September. As far as the Diwali season is, that is going into Q3, I would not want to forecast anything on Q3 on this call, please.

Pranav Kshatriya: Okay, sure. Last question is on the devices business. If I back calculate according to your disclosures, the ARPU implied is around INR 336 for Q2, which is significantly lower than INR 380 odd, which was there for FY '25. I mean, you did mention in the letter that you are deliberately moving away from the hardware based deal to a software based deal. So, how should we sort of see this panning out in coming years?

Amrish Rau: While I let the CFO answer this one, I just want to give one headline on that one is, and that is the reason why even though we have 29% of our revenues, we have the take rate actually dropping, our co

tribution margin has gone up. Because what we are getting to see is much more of software led sales happening when it comes to subscription revenues. And while our take rate has gone down, and actually our contribution margin has gone up.

Sameer Kamath: Yes, I think Amrisha have covered it. So, as I said, Pranav fair observation. And that is the conscious call we are taking where we are taking care, we are basically, headline revenues may look slightly muted, because hardware is a bit lumpy, but it is a low margin business. And that lower take rate there has been compensated by the fact that our contribution margin has actually grown by 21%, with revenues at about 18%. And that is a conscious part of our strategy.

Pranav Kshatriya: Fair enough. Thank you so much for the opportunity and all the best.

Amrisha Rau: Thank you.

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Sameer Kamath: Thank you Pranav.

Moderator: Thank you. Our next question is from Mr. Srinivasan.

Srinivasan: Hello.

Sameer Kamath: Yes.

Srinivasan: Am I, am I audible sir?

Sameer Kamath: Very clearly. Go ahead Srinivasan.

Srinivasan: Yes. First of all, congratulations for the great set of numbers and especially second consecutive PAT positive this quarter. My question is about the operating leverage. You guided that INR 50 to INR 57 EBITDA for every INR 100 contribution. So, can you commit this for the next couple of quarters?

Sameer Kamath: This is, I think, as a business, Srinivasan, the reason we have given this guidance is because we have been demonstrating how our operating leverage is playing out. So, if you see our top line has grown at about 20% - 22%. Our adjusted EBITDA margins has moved up to about from 9% to about 19% to 20% already. And we have given the structural reasons why you are seeing this operating leverage play out. Like we said, there is a focus on building value-added services, tech-based revenues, international revenues, which are high margin. We are seeing operating leverage come out of the employee cost with productivity gains are headcount not increasing at the rate of revenue. And therefore, this is a structural way we are trying to break down our operating leverage to say that as a business moves on and builds scale, you should expect at least about in the range and that is why we have given a range that roughly about 50% to 55% of our incremental contribution margin will fall through adjusted EBITDA.

Amrisha Rau: I will just add one thing is we try to be very careful by not trying to be aggressive in this projection that we have given out here. So, yes, we do feel comfortable with what we have sent out there.

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Srinivasan: Okay, thanks for that. And my next question is about the tap to pay online that you demonstrated initially. Does this support all types of cards like RuPay, Master and also like RBI two-factor authentication and iOS and Android? So, does this support all these combinations?

Amrisha Rau: I will give you the answer on two parts. One, absolutely it supports everything what you just talked about. But the second part of the conversation is you obviously have to go through certifications, getting approval, and only then you can take it to GTM. All of that work is pending. We are taking this across many, many markets as we speak just now, but that work is pending in terms of getting approvals and getting all the local testings done.

Srinivasan: Okay, so I have already used this product in some other place. The problem that I used to see is always latency. Latency issues I see. Sometimes it fails.

Merchant finds it difficult to roll back.

Amrisha

Rau: No, I want to clarify that. What you have seen as a product is where merchant is using his or her phone to receive card payment transaction. What we demonstrated is - consumer is using his phone to make a payment to the merchant. It is a completely different product that we actually showed. So, we are saying consumer is sitting at home, he is on an app, a food delivery app. When it comes to a payment page, he just uses his card, taps on his own phone and the transaction is getting initiated and completed. What you would have seen is where you are giving the card and tapping it on the

merchant's phone, which is the other form factor.

Srinivasan: I see. Thanks for the clarification.

Amrisha Rau: Thank you.

Srinivasan: That is all from my side.

Amrisha Rau: Thank you, Srinivasan.

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Moderator: Thank you. Participants are requested to mention your name and organization before asking your question. Our next question is from Mr.

Himanshu Taluja.

Himanshu Taluja: Hi, sir. Congratulations on a great set of the numbers and also very good disclosures in the presentation. Just one question at my end. Given you have a narrative to deliver a 20 % to 25% growth over the near to medium term and probably clearly VAS, Issuing and Acquiring businesses and the Affordability solutions are delivering you a growth of 30% range, it is just the POS business which is expected to grow at 15 % to 18%. How will you build that narrative or what expectations do you have around the POS business, device businesses, if you can just help us?

Sameer Kamath: Yes, so I think, look, the way we look at our POS businesses, our POS touchpoint actually helps us monetize and build on the various rails of the value-added and Affordability business. So, if you see the headline POS numbers, they have also grown at about 19%, where we are at about 1.9 across about one million merchants. So, I think we have not seen a slowdown of growth there. But clearly the opportunity for us on the POS devices is to see how that 25% number keeps increasing because that drives the monetization of the value-added services that we have.

Amrisha Rau: I just want to mention, Himanshu, just mention out here is when it comes to just sequential quarter-on-quarter, we have actually moved from 1.7 million deployments to about

Sameer Kamath: 1.9 that is 90% growth.

Amrisha Rau: So, it is about 1.9 is what we have been able to grow on that business. But as I told you, materially, what is going to make a difference for us from an earning standpoint, material difference is actually going to come out of what is going to happen out of the 70% -75% of the rest of the revenues that we are getting in the company.

Himanshu Taluja: Yes, sure. Thank you. Thanks a lot.

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Sameer Kamath: Thank you, Himanshu.

Moderator: Thank you. Our next question is from Mr. Prakhar Sharma.

Prakhar Sharma: Hi. Am I audible now?

Amrisha Rau: Yes.

Prakhar Sharma: Thank you and congratulations. It has been a great journey and best of luck.

What I wanted to just ask you is if you could explain the seasonality on 1Q to 2Q. I know it is not the best half for you. So, if I look at your revenues between 1Q and 2Q, you have gone up by about INR 34 odd crores from INR 616 crores to INR 650 crores. Your contribution has actually gone up by INR 17 crores, which is about a 15% incremental contribution margin. And your EBITDA has gone up by just about INR 1 crore. So, your margin has come down. So, if you could just explain what is this seasonality? I am sorry, I got into numbers and maybe you know.

Amrisha Rau:

Prakhar, I am going to be completely transparent with you. What that seasonality is between Q1 and Q2. Remember, I have been in payments for 25 years. I cannot tell you what the seasonality between a Q1 and a Q2. In fact, I would say that there are enough and more years on which Q2 is generally weaker than Q1. And that is largely because that is the rain period across the country. So, I would say the seasonality in the payments and fintech business in general are just bucketed into two parts. Q1 and Q2 would be weaker and the stronger one would be a Q3 and Q4. I honestly cannot tell you. But between Q1 and Q2, what will be the seasonality breakup you know.

Prakhar Sharma: Yes, because I was just, I know it is a small number. I was just inquisitive to see

why have the margins actually come off sequentially, which is the point I was trying to just get to.

Sameer Kamath: I think the margins, the EBITDA margins are more or less on the same line, maybe plus one percent minus here or there. I think some small numbers change there. But largely on a trajectory that we are at, Prakhar, we are at a 19% to 20% adjusted EBITDA margin.

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Amrith Rau: Yes, margin is very minuscule, I think less than 50 bps or 1% out there. But I think more interestingly, going forward Prakhar, we have actually made it super clear for everybody to calculate saying that if the Q3 and Q4 are going to be stronger, what does that mean from a PAT standpoint.

Prakhar Sharma: Of course. And is there any color you can share on the affordability, especially the support that

Sameer Kamath: Sorry, we lost you, Prakhar.

Amrith Rau: Prakash, we could not hear you. We just heard affordability.

Prakhar Sharma: Am I audible now?

Amrith Rau: Yes.

Prakhar Sharma: Okay. I was asking if you could throw some color on the affordability, especially the EMI credit that is going through your pipes. How is that trending for you and for the market? And are you able to improve some sort of take rates on that side?

Amrith Rau: So, I think Sameer has already answered on that one. In terms of the overall transaction processing, VAS and the Affordability business, we believe that individual segments, the margins have remained same as what we had established earlier. In terms of affordability numbers, as you can see, it is almost coming at about, sorry, the overall number is almost coming at about 35%-37% higher on a year-on-year basis. And by the way, that has been the case for the last five years. So, it is not that this number is entirely surprising where it is. I can only tell you that the Diwali this year has been just stupendous, just an unbelievably strong Diwali we have had.

Prakhar Sharma: But that will come in Q3.

Amrith Rau: Of course. Yes.

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Prakhar Sharma: This is perfect. And best of luck to you and the entire team. Thank you so much.

Amrith Rau: Thank you very much, Prakhar.

Moderator: Thank you. Our next question is from Mr. Navneet Singh.

Navneet Singh: Thank you for the opportunity. My voice is audible.

Sameer Kamath: Yes, Navneet, go ahead, please.

Navneet Singh: So, I have a couple of questions. One question pertaining to IPO. So, as per the last private funding round, Pine Labs was valued at about USD 5 billion around three years ago. IPO has happened at around USD 3 billion. So, what has happened that led to fall in its valuation?

Amrith Rau: Sir, I have answered this question five times. Whatever value is on the terminal that is my value. I cannot do anything.

Navneet Singh: All right. No issue. Another question. So, there are a lot

of listed players and

some of the competitors of Pine Labs about to go in IPO. So, what is it that Pine Labs has compared to these competitors? These competitors are aggressive and they may trigger certain price war and margin may hit. So, what is your strategy around these?

Amrith Rau: Navneet, you know, it is not good to speculate about what competition is going to do. I think one of the things I try to show out there is we continue to win on all sectors. We continue to grow our platforms very well. I do not think so. I am too much worried about my protecting my business or growing my business. I feel very comfortable. Thank you.

Navneet Singh: All right. Okay. Some of the colors on the revenue growth for Pine Labs and its subsidiary for next financial year.

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Sameer Kamath: We cannot make forward looking projections of this. I think this call is restricted more to how this quarter has performed Navneet. So, that data is there in the data that we shared.

Navneet Singh: All right. Got it. One trivial question related to the product that are demonstrated at the beginning of this call that tap and pay feature. So, is this feature require a separate app to be installed on the consumer device?

Amrith Rau: No, it does not. It is an SDK which will go into the app of the consumer Internet company.

Navneet Singh: Understood. Understood. Thank you. That is all from my end. And all the best for next quarter.

Amrith Rau: Thank you Navneet. We will just take one last question. Mr. Kush Shah go ahead and then we will wrap it up.

Kush Shah: Yes, Am I audible?

Amrith Rau: Yes, you are.

Kush Shah: Congratulations for the good set of numbers. My first question would be what would be the monthly fee for the POS device you charge?

Sameer Kamath: So, as we have said earlier on the call it is in the range of about, it is a blended range of about INR 350 to about INR 380 and that range kind of splits depending on whether how much of hardware or component is there in it.

Kush Shah: Okay, perfect. And the second question would be what would be the software as a side? How we are different from the competitor? Because the adoption, the product development, everyone will be able to make software at one point of time so are we different from the competitors side?

Amrith Rau: Well, the answer on that one is it is exactly as different as the Apple software is compared to the Android software. Did you understand what I am trying to say?

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Kush Shah: Yes, I did, but.

Amrith Rau: No, honestly answer is that only. What we do is premium in what we do. We are very proud of the technology that we built over the years. The kind of ease of use, the reporting, settlement, security, ease of configurations, existing pipes and integrations that we have. It is a fairly complex and well-developed platform. It is a full ecosystem which we have built out there.

Kush Shah: So, the TAM wise, how would be the TAM wise compared to the quick commerce or the travel platform so we can gauge the market around this?

Sameer Kamath: As we have said on the call, each of the segments top players are already our partners, Navneet. So, basically, if you see the top three quick commerce companies work with us across some of our businesses, the top retailers work with us, the top banks work with us, top petroleum companies. So, I think we are playing across an entire ecosystem of the payment space across merchants, brands and enterprises. And I think our product stack, our DNA as a tech first of Fintech helps us kind of build deep integrations, create value - add

ed services and be relevant to them in their journey of growth. I think that is our economic that is our mode which we have been able to live up to and we have seen our business grow within that cohort.

Kush Shah: Okay, perfect. And on the ESOP side, I want to ask a question, how much would be the expense that would go further on the higher side?

Sameer Kamath: I think we have guided on our presentation on where we stand today. I think more or less, we should be in the range of about 4% to 6% of top line and trending slightly downward as we go into the amortization of the existing ESOP.

Kush Shah: Okay, so basically, it will be consolidated around between 4% to 6%.

Sameer Kamath: Yes, it will keep going down. Obviously, we have made some new issuances. That is why there is some upfront in Q1, but as a direction, you should see the ESOPs was going down.

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Kush Shah: My last question would be the gifting side at Qwiksilver. What would be the

TAM of a gifting in India so that we can gauge market size?

Sameer Kamath: Yes, so I think we had a technical partner Redseer , which has given a very detailed assessment of TAM of each of the segments, not just in India, but across the globe. I think in the especially the markets we operate now, so if you can look at those, then you would be able to get a deeper sense on that. I think all of that is covered in our DRHP, which we put out just a few months back, which we put out a few months back.

Kush Shah: Perfect. Thank you so much.

Sameer Kamath: Thank you very much.

Amrish Rau: Thank you.

Moderator: Thank you. That was the last question for today. With that, we conclude the Q&A session. I will now request Mr. Amrish to share his closing remarks before we end the call.

Amrish Rau: Thank you very much for doing this. Please take a minute to read the note which I had put out there. We are back to work. Thank you to all of you for having welcomed us on the public markets. This was our first earning calls. You guys have been fairly kind with us in these questions also. We will learn, we will improve, and we will keep giving you more disclosures. Thank you very much.

Sameer Kamath: So, if you have any further questions or information, feel free to reach out to us at the investor relations email that we have put out at the end of the presentation. Thank you and have a good evening.

Moderator: Thank you. You can now disconnect your lines. Thank you everyone for joining us today. Have a great evening.

Call: Feb 2026

Date: February 3 , 2026

To,

BSE Limited,
20th Floor, P.J. Towers,
Dalal Street,
Mumbai - 400001.
BSE Scrip Code: 544606
National Stock Exchange of India Limited ,
Exchange Plaza, C -1, Block G,
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NSE Scrip Symbol: PINELABS

Sub: Transcript of the Analysts / Institutional Call

Dear Sir/ Madam,

Pursuant to Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the conference call that was organized with the Analysts/Investors on Wednesday, January 28, 2026 and the same can be accessed at www.pinelabs.com/investor-relations/financial-results?tab=quarterly-results .

We request you to kindly take the above on record.

Thanking you,

For Pine Labs Limited

Neerav Mehta
Company Secretary and Compliance Officer
Membership Number: A20949

Encl. a/a

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"Pine Labs Limited
Q3 FY2026 Earnings Call "

January 28, 2026

MANAGEMENT : MR. AMRISH RAU – CHIEF EXECUTIVE OFFICER – PINE LABS LIMITED
MR. SAMEER KAMATH – GROUP CHIEF FINANCIAL OFFICER – PINE LABS LIMITED

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Moderator : Hello everyone, welcome to the Pine Labs Limited Q3 FY2026 Earnings Call . Please note all participants will be in the listen only mode and this call is being recorded.

Joining us from the Pine Labs management team are Mr. Amrisha Rau, CEO and Mr. Sameer Kamath , Group CFO.

The call will begin with opening remarks from Mr. Amrisha Rau along with a couple of product demos and then he will discuss the business highlights. Mr. Kamath will then discuss the company's financial performance followed by a Q&A session.

Before we begin, please note that some of the statements made during the course of this

discussion may be forward-looking in nature. Actual results may vary significantly due to various external factors. This Zoom conference call is intended solely for investors and analysts. So, if you are joining from a media organization, we request that you please disconnect. Please reach out to the company's investor relations team for any questions. With that, I hand over the call to Mr. Rau. Over to you, Sir.

Amrish Rau : Thank you very much everybody . Thank you for joining us on this Q3 earnings call. I look forward to a good conversation , as I start -off and as I had promised in the last earnings call, what I would like to do is I am going to focus on what Pine Labs does and some of the products and services that Pine Labs is innovating, building, and taking out to the market. I have got two product demos for you, one for two minutes, the other for one minute. But I do want to take you through that.

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Let me talk about the first one. If some of you have been following Blinkit, you would get to see, yesterday Albinder tweeted that on Blinkit, you can go and buy a card which is called Bharat Yatra.

Bharat Yatra is a national mobility card entirely powered by Pine Labs platform for prepaid services. You could go to Blinkit, you could go to Zepto, Flipkart, or for that matter, you could actually go to any of the metros and you could buy that card, load money on it. And then we built a really cool technology where money could get transported from your mobile app onto the card and you could do transactions. What that does is you do not need to go to the ticketing counter. You can just simply use the card , tap and complete the transaction. That is the video that we are going to show you. The person running it runs our prepaid business today on the sales side and that is Sam.

Ritesh, if you can just start the video please.

Audio Visual Presentation

"You have probably used prepaid today, maybe without realizing it. A prepaid wallet for a seamless checkout, instant refund for goods returned, a gift card bought using bank loyalty points, a Meal card at work, a For ex card when you travel abroad. Prepaid is programmable money in its simplest form, already embedded in our daily lives. But one experience still has not caught up , public transit. What should be a quick ride often starts with waiting. That is why Government of India introduced National Common Mobility Card, a common payment infrastructure for public travel across the country. So the question became simple. How do you make this usable every day for millions of Indians? This is exactly what Bharat Yatra Card is built for , one contactless transit card for everyday travel across cities in India. And we make sure you do not have to stand in line. Not to buy the

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card, not to recharge it, not while you travel. You can even get it delivered to your doorstep in minutes via all major quick commerce apps like Blinkit and Zepto. Once you have the card, setup is real quick. Let me just show you. You open the Bharati Yatra app, link your card, activate with your mobile number, load money using any UPI app, and the money is added. And now, watch this. Just tap your card,

your balance updates instantaneously through NFC on your Android phone. No counters, no machines, no waiting. You are ready to travel with just a tap. Pine Labs Bharat Yatra. This is daily commute simplified for Bharat. "

Amrish Rau: Thank you. The second demo is another interesting one. As you know, in the online space, we continue to win volumes. We continue to sign on new merchants. One of the use cases that we have been focused on is in terms of cross border transaction and being able to capture the DCC opportunity. So what we did was we actually enabled for Apple Pay. So if you are a consumer sitting outside of India, want to make a purchase with an Indian merchant, the Indian merchant would want to give capabilities like Apple Pay so that the consumer can easily make that payment transaction. That is something that we have enabled on our online platform. And we wanted to show you that experience. But what we decided was, instead of showing it from a merchant standpoint , let us show it to you from a consumer standpoint, a foreign consumer coming on to an Indian merchant, how this would be beneficial to the consumer. And obviously the merchant, who is our client, benefits with this.

So we are going to run you that demo too now.

Audio Visual Presentation

"I live in Singapore and was planning a trip to India. I was really excited to visit Udaipur, the city of lakes and palaces. I wanted to book a two night stay at Wyndham Hotel, and they sent me a payment link. And here is the thing, normally with international payments,

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I would worry about whether OTP would be arriving, whether the cards will be working, and whether the site is even trustworthy in the first place. Now this time round, when I clicked on the payment link, I was so excited to see that they had Apple Pay. And so I clicked on it. Here is the funny thing. It was done within seconds and no card, no OTP. It was just facial recognition. Everything was done. It is as simple and safe as paying at home. "

Amrith Rau: So these are two of the products which I wanted to show you today. Every one of these earning release, we will carry some products that we would want to show to you. With that, I will just move on to the earnings release and the document that we sent out earlier in the day. Ritesh, would you be presenting .

Again, I am just going to reiterate a few topics out here. We have got a very clear vision statement, which is to build the best payments and commerce platform from Asia for the world.

Next , I also wanted to take this opportunity to again remind everybody that Pine Labs is a multiproduct business. If you actually see out there, we have very strong presence in in-store, online, everything around prepaid issuance. We do credit card processing.

We actually announced some very big deals on the credit card processing side just in recent days. But as a company, we want to be a multi-product company.

Second, we also want to be a multi-segment company. So if you look at our revenues and the breakdown of our revenues, we have revenues coming from all the three stakeholders, that is merchants or banks and financial institutions, and at the end of the day, corporates and brands. And finally, we do not want to be just India centric.

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We continue to invest heavily to take our products into global markets. We are showing some very good win. So we do want to be a very broad Fin tech player. If you see what Stripe is doing, what Adyen is doing, a very similar playbook is being followed here in Pine Labs and that is what makes us unique.

This is a slide which I used last time. In the market in India, we continue to win with all the large clients. All the top five banks have Pine Labs as their number one payments partner. All the three petroleum companies have some sort of a relationship with Pine Labs.

The top five retailers, may that be the Tata Group, the Reliance Group, DMart, all of them have Pine Labs as their preferred payments partner. And the same goes when it comes to the top three e-commerce companies. All of them have Pine Labs as their payments partner. May that be on the gift card or prepaid or online payment processing or for that matter for delivery related services.

A question which was asked to us last time was how are we looking to go international and I wanted to put a slide to that one. What we have done is we have said anytime that we go into a new market, what we will do is we will first go and see the territory. The first country that we went international was in Malaysia, and that was in about 2019 or 2020. There, what we did was we first partnered with CIMB. We had a software-led deal with them. It was a fairly large deal, but over a period of time, we have actually expanded our presence in the Malaysian market. Now we work with 11 bank issuers in Malaysia. We have got tens of thousands of POS machines deployed in the Malaysian market. That business has been continuing to grow at about 40%. But the idea there is first get a large partnership in place, get our software on the market. Then we put boots on the ground. We commit to the market by putting in our sales team, which can go and win merchants also. and that is how we go on increasing that scale. We started with Malaysia , we have also gone into the Singaporean

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markets and also we are now present in the Middle East markets. We are currently present in almost 20 countries around the world and just reminding everybody in terms of our financials in the international markets only. And that is what you have there at the bottom. The last piece before I get into the financials and an update in terms of Q3, I wanted to also highlight very specific cases where AI is being used within Pine Labs. I recently commented where about 21% of all code which is written in Pine Labs is now being written using AI. But where is this being applied? These are the six, seven areas where this AI is being applied. And that is really trying to create new products, Next time, maybe I will show you a demo which is related to payments in AI.

Second, purely from sales effectiveness, we have started to use AI. When it comes to merchant and transaction fraud prevention, we have already brought AI in out there.

On the operational efficiency side, which is a very easy area, what we have done is we have actually opened up the data related to all our SOPs, our product information and the classic tickets that we get to see, and we have entirely automated using AI. So these are very real use cases that we are doing using AI today, and that is ensuring that we really do not need to scale in terms of hiring more engineers. Again, I am very clear at this point of time, we have got enough engineering talent within the company. I do not see Pine Labs increasing the number of engineers going forward. If any, it could actually go down, but surely not increase.

Coming to the financials, in Q3, I think we had just a powerful, powerful quarter. This is the second time I am going to say this. I think we crushed it in Q3. Q3 obviously was a quarter which has a lot of festivities in it. But even within that, I thought Pine Lab's performance was very, very strong. One very important fact to share with all of you is in the Q3 quarter, our

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technology platforms have to remain up at all points of time and we literally can not afford a one minute downtime. May that be in the offline platforms, online platforms, on the prepaid platforms, or for that matter on the BBPS and the bill payments infrastructure. And that is what we delivered. We did not even have one minute of downtime.

Second, all the major merchants and all the major brands continue to

use almost 85% of

their transaction throughput on the Pine Labs platform. So that was extremely strong. All of the various services that we drive on top of our platforms, and may that be in terms of affordability, or in terms of DCC, or for that matter, anything which is related to offers, that continue to perform extremely well. We have given some more information about that in the rest of the deck, but I can tell you that we had one of the best, best Q3s in Pine Labs history. And that meant that we actually came in with about Rs.744 Crores of revenues, which was about 23 % to 24% in terms of year -on-year growth. The contribution margin came in at about Rs.551 Crores. I think I explained this to you earlier. I am a firm believer that you run your business from a contribution margin, standpoint and that is the one that I tend to focus on because from the contribution margin your EBITDA gets played out and again I am going to reiterate that in our presentation.

On an adjusted EBITDA basis we came in at about Rs.171 Crores adjusted only for the ESOP costs and the PAT came in at about Rs.42 Crores. There, obviously, we had to consider for some of the impact related to the recent labor law. Now, while these are numbers, and Sameer will go into detail, I just wanted to give you a flavor of what is happening in the market. In the market, what we are getting to see is that a lot of merchants are coming up with complex payment requirements. A lot of merchants have started to ask for various services over and above the payments platform that we have built and our solution is best fitted to deliver this in the fastest possible manner. That is point number one.

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Point number two, what we are getting to see is consumers using prepaid cards and prepaid instruments and storing currency on those prepaid instruments continues to rise. And that means number of transactions are also continuing to increase. And we are getting to see

this not just in terms of gift cards and closed loop prepaid, but also in terms of open loop prepaid. May that be in terms of forex prepaid or, for that matter, credit card processing, or what I just explained to you when it comes to the Bharat Yatra product. And again, our responsibility is to capture all of that into the financials and obviously bring it down to the PAT line. The other piece which I do want to share is we continue to get some very significant wins. As you know, recently we announced a deal with Wio Bank. Wio Bank is the fastest growing digital bank in all of Middle East and arguably is one of the fastest growing digital banks anywhere in the world. They actually wanted to bring in a next generation modern payments platform. They went through a very deep evaluation process.

We competed with global companies on that front and we actually ended up winning there. Just today, coincidentally, along with our earnings release, in the morning we announced another deal in Sri Lanka where a card issuing platform has decided to go with us and we will be actually doing all of the payment processing for them too. So through the Q3 process, we continue to win deals.

Now, unlike these other companies where order value and revenue value, there is a direct co-relationship. We charge by the transaction. We do not charge by the project. Once the client comes on board, as the transactions go on building, we end up making more money. That is the philosophy that we have captured. We brought in almost about 120 new brands in Q3 onto our platforms. May that be in terms of offers, affordability, or for that matter, anything related to prepaid services. So our payments platform continues to win.

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One important point I do want to talk about, which is not directly linked to the revenues of the businesses we ended up processing about \$51 billion of payment volumes on our platform.

So that takes us past the \$200 billion number when it comes to transaction processing on our platforms.

With this, what I am going to do is I am going to hand it over to Sameer, and Sameer will go deeper into the numbers.

Sameer Kamath : Thank you Amrish and welcome everyone to our Q3 earnings call. As Amrish said that typically Q3 is a strong quarter for us and we have come out with stellar set of numbers given the seasonal impact etc.

Coming to the next slide on revenue, as you can see clearly over the last year -on-year basis we reported revenue of Rs.744 Crores, which is a growth of 24% over Rs.600 Crores we reported a year back. This has been healthily contributed by all our business segments.

We report our business broadly into two segments, the digital payments business, which includes in-store, the online business, the value-added services including affordability, and the fintech infrastructure business.

And the second line of business, which is issuance, which is the card business, the demo which you saw in the first demo we saw during the day. I think across both these businesses, we have reported healthy growth rate.

Our digital business grew by about 16%, and our issuance business grew to about 42%, contributing to an overall growth of about 24%. The contribution margin has been in a steady state of about 76% on a nine-month basis. The marginal fluctuation between the quarters

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you see is largely because of sometimes the mix change you see between the issuance business and the digital payments business.

Our digital payments business typically works at about an 82% gross margin given that there is very little direct cost involved with that business other than certain connectivity costs, etc., whereas the issuance business largely is driven into two revenue streams. The processing that we do for all our prepaid cards and one very critical component of that business is also the distribution strength that we bring to the brand, which becomes a big moat for us as we penetrate new brands and build size and scale for them.

The contribution margins typically of the distribution business, which is a critical moat for us, is lower than that of the processing business because there are partners involved, including resellers, the marketplaces where we list some of the products. And therefore, a mixed change causes some bit of variations between the quarters. But on a steady state basis for

nine months, we are at about 76%, which is in line with a 76% to 78% guided growth rate. So our contribution margin is also shown a healthy growth rate at about Rs.551 Crores of contribution margin. Ritesh, go to the next slide.

As we had indicated in our earlier presentations as well, we believe that there is significant operating leverage and scale in our business. Every incremental Rs.100 of contribution will translate between Rs.50 to Rs.60 of adjusted EBITDA and a flow through to PAT will also be similar. PBT will also be of a similar nature, about 40% to 45%. I think that is held true for this quarter as well. We have seen margins expand from about 16% a year back to about 23% as we had guided earlier as well. I think this is contributed by a robust top line growth, effective cost management and operating scale that we have seen in our businesses. We believe these margins are sustainable going forward as well. And this has translated into a significant flow through to our PAT as well. We had reported two quarters of positive PAT for

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this financial year in Q1 and Q2 at about Rs.5 and Rs.6 Crores respectively. However, this flow through has come through with Rs.42 Crores PAT for this quarter. This is after factoring in the Rs.12 Crores exceptional item adjustment, as Amrith said, for the labor code reforms that came in. Had it not been for that one-time impact that we have

taken, our reported PAT

would have been close to about Rs.52 Crores. This is a swing of about almost Rs.100 Crores on a year-on-year basis, giving a sense of size, scale and change that we are seeing with the operating leverage kick in.

Going a little deeper into where the operating leverage comes from, I think we have been able, as Amrith said, we are fairly well staffed and I think now it is about sweating the workforce and delivering the throughput through technology, AI, and some of the other initiatives we spoke about earlier on.

Our headcount has marginally gone up by about 6%. And with the same headcount and more or less, I think the wage inflation which has come in, I think our people cost have grown at about 6% to 8%, which has translated into a significant operating leverage from about 42% to top line two years back.

We have shown a steady operating leverage kick in here. We were about 37% same time last year. And this year, we have come to about 31%. I think a steady state of about 34% to 35% is what one should expect through the year, given that Q3 was a strong quarter. So that is one big operating leverage that has played out in the adjusted EBITDA chain that you see from about an 18% to 19% in the earlier two quarters to about 23% that we have reported in this quarter.

Likewise, as Amrith said, ESOPs is something we show below the adjusted EBITDA line item before PBT. Philosophically, as we went into the public market space, one big change we had

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brought about is that new issuances of ESOPs will also be available at closer to FMV. And I think that has translated into a more reasonable P&L impact as far as ESOPs cost is concerned. Adjusted for a onetime reversal that was there in Q3 of last year, two years back, we are seeing the ESOP cost both in absolute terms and as a percentage to top line show a steady decline. We are currently at about 4% to top line with an ESOP cost of about Rs.31 Crores and that is a number which will steadily start creeping down both in absolute sense and as a percentage to top line, which results in a better flow through from adjusted EBITDA to PPT.

As we had indicated earlier, as our businesses build scale, technology will be a big driver. We have been making a conscious effort to make our business asset light, which means sometimes directly selling devices to the merchants or to the large banking partners that we have. This makes our balance sheet asset light while it may have a short-term impact in terms of the gross realizations as far as the payments business is concerned.

Our overall depreciation line item has been fairly flat with a rising top line, and therefore the percentage as a percentage to top line has seen a steady decline from about 11% two years back to about 4% and this has translated in a higher PBT and a PAT translation for this quarter as well.

This is the slide we spoke about. I think this is a reference point we will always use to guide

through how one should look at the operating leverage with every incremental Rs.100 of contribution. As we had said that every incremental Rs.100 of contribution results in about Rs.50 to Rs.57 of flow through to adjusted EBITDA. And given the changes we are making in ESOPs and depreciation, a further flow through will also translate to PBT, so almost 50% of the incremental contribution margin will actually flow to the PBT line item.

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Coming to business specific details, we have seen a robust growth of about 11% on the digital checkout points, which is a critical variable we look at. One important variable we track within this is how we monetize value added businesses on top of the rails that we laid out, because we are very well entrenched across the merchants, which are in the enterprise segment and the mid-market. There is significant potential to monetize

a lot of these

merchants beyond the merchant rental fees that we get. And one variable that we have been tracking and reporting to the street is the fact that how many of these digital touch points are actually activated for value-added services and I am happy to report that, that is a number that is continuously trending upward. This number was about 21% a year back, and that is about 28%. The value-added services, as is clearly reflected in the volume growth of about 41% on a year-on-year basis at about Rs.76,000 Crores, comprises various things within it.

We are market leaders as far as affordability is concerned, and the season brought in a good amount of volumes almost about one-third of that Rs.76,000 Crores comes from the affordability business where we are powering buy now, pay later across the consumer durable segment, the mobile segment, and we have also seen very healthy high digit growths across the non-consumer durable segment, which is a category first for us, which is also driving a lot of these growth. Our margins continue to remain strong. Our take rates continue to remain strong and I think this is a key lever for us. Overall, I think we have grown at about 25% plus, and I think that is a healthy number to kind of go forward.

Fintech infrastructure business, I think we are doing a lot of innovative things in the Fintech infrastructure side. We are one of the largest rail providers for the Bharat Connect, which is the BPS system, which connects the utilities to the consumer through the BOUs and COUs. I think we process almost about 31 Crores transactions. We monetize it based on number of

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transactions. We also have a UPI switch and an account aggregator, which helps us penetrate deep into the ecosystem as far as identity and some of the other use cases are concerned. We continue to innovate in this space because we believe there is a lot of potential here.

A couple of new innovations that we have done while we have not showcased it in the product demos is integrating the bill payment with the ChatGPT equivalent, which helps you make payments through agentic commerce in a very seamless way. Likewise we are also in the process of simplifying payments and making it seamless.

A couple of initiatives we have done is also to make identity verification, which is otherwise a cumbersome process as far as physical is concerned or gig workers is concerned we have made it extremely seamless through Aadhaar integration, through mAadhaar integration and it makes it absolutely seamless. So I think we continue to work on multiple use cases here. I think there is significant opportunity given the complex workflows we solve and solve it as a solution across our ecosystem to take this to the next level.

Coming to the issuance business, the issuance business registered a very strong growth of transactions at about 28%. We continue to see strong growth across brands that we signed up. We have added a significant amount of brands across geographies, which trust Pine Labs offering for its prepaid solutions, which is a great store value platform for attracting customers, for managing refunds, for managing new client acquisition, for actually driving channel loyalty, and all of those use cases. We are winning not just in India, but across markets. We have a large anchor brand in Australia. We have multiple brands across Southeast Asia. We have won recent mandates with Miniso in US and also with Google Waymo in the US. I think these are markets, as Amrith mentioned early on, where we are

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making fresh entry and I think we are able to participate in these markets given the size, scale, and platform capability that we have distributed.

I think one key point I want to bring out here is we are not just a processing platform, but we also provide a holistic solution where we work

with the brands and OEMs in not just providing a world class processing stack, but also customizing use cases to their requirements. And second is distribution is a big strength.

One of the big growth drivers for this quarter has also been our focus on distribution. We have also said in other quarters that distribution is something that we want to bring in because when a brand looks at us, they look at us as an integrated provider for not just processing the card or the virtual cards or prepaid stored value cards, but also taking it across the internet and both in India and also similar tie-ups for global markets to drive that growth. So we have seen a strong distribution.

We have led a lot of channel led programs as well and across both India and overseas, we have seen strong revenue growth of upward of 40%. I think that is where we are as far as the issuance business is concerned. I will take a pause here. I think we have broadly covered the broad highlights of the business. We have covered some of the key aspects that have driven this quarter's performance. Our business remains to be extremely robust and strong. Our cash flows remain strong. We have seen, there will always be, given the nature of our business, where we process GTV as an account aggregator, we will see some seasonal volatility as far as cash flows are concerned. But on a steady state basis, I think we have guided earlier as well, when we came out with our RHP, that roughly 15% to 16% of our net working capital top line is a guided view we should take.

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I will pause here, happy to take questions and any other queries that you had regarding our Q3 performance.

Moderator: Thank you very much, Sir. Ladies and gentlemen, we will now begin the question and answer session. We will take the first question from Kaushik Agarwal. Please go ahead.

Kaushik Agarwal: Thank you for the opportunity and congratulations on a good set of numbers. So a couple of questions from my side. Firstly, if you can help just decode this 29% GMV growth that we have reported on a Y-o-Y basis in this quarter, it is more of a market share play that is playing out in our favor because most of the payments instrument you see like credit card spending has not been going up so great even on the UPI side the growth is broadly in the range of 22% to 25%, so that was one. Second thing I wanted to understand is that has there been any communication from the regulator regarding the PIDF incentive income because there was some media article recently floating around indicating that scheme will not continue. So what would be the proportion of such incentive income as part of our revenue and third piece would be your take rates on the affordability, VAS side. So I did some back of the envelope calculation and noted that the take rates for your affordability, VAS business is slightly coming down. So how should one look at it? So, yes, these were the three things from my side.

Sameer Kamath: So Amrith, you want to take it or should I go ahead with it?

Amrith Rau: Let me address the first part. Yes, so what is clear is that we are continuing to win market share. We are continuing to expand our presence in the market. You also need to remember that when we go out globally and we go into newer market that effectively always becomes a net new market for us. So when we are showing a 29% growth in terms of GTV, that is largely because our payment platform continues to win in the marketplace in India and also

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because of the global markets that we are opening up, new volumes are coming on board.

Sameer, you can take the next two.

Sameer Kamath: Kaushik, coming to the second question, I think affordability, we report the total number of

Rs.74,000 Crores , which combines multiple things. It combines three to four things. Affordability is a one third

of our volumes, but it is roughly about two third of our revenues and the take rates there in that segment have remained fairly in the same range. I think we have seen no compression of margins there. Likewise, there is UPI volumes that we do on our own stack. There is DCC and a lot of other value -added services. I think sometimes it is a mixed chain but intra segmental we have not seen any yield more or less even at a headline level if you see and if you work out the broad math , I think it is easily possible the ranges are more or less in the same level. The third question you asked me about PIDF, as we have said, that that is not a segment that we operate in , we serve the mid market and the enterprise segment and not in the villages where typically this incentive was largely for. In our own P&L, the numbers with regard to PIDF for a month, rather for a quarter, would be not more than about Rs.1 Crore . So the impact of any change of the government regulation with PIDF will have almost a negligible impact on our top line and our profitability.

Amrith Rau : I am just going to add out there by just giving a little bit more specifics. I think what we think the PIDF kind of an impact on our business is less than like Rs.4 Crores or Rs.5 Crores on a quarterly basis. So it is not that big a number at all for us, if any. Point number one. Point number two, I think what will be interesting to see what comes out in the union budget and in the union budget if there is any play to incentivize payment transactions. The way I see this personally is that I do not see there would be any charges which will come on the long tail merchant base in India. If there are any charges which were to come, it will largely come on to the organized sector and that would generally be the area that we are playing in today. So

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if there is an MDR to come in, I do believe it might come into the space that we are present in and not into the long tail of the market. But this is all speculation. Let us just see what comes out. But I am just trying to highlight out here is I do generally believe that the government of India and the regulator continues to be extremely supportive to grow digital payments across the country.

Sameer Kamath: Kaushik , does it answer your questions?

Kaushik Agarwal: Yes. That answers my question. Just one followup. So on GTV side, if you can just provide some mix around what would be the mix of Domestic and International ? You have given on top line side, but on GTV, it will be .

Amrith Rau : Kaushik , we do not have it handy right now.

Kaushik Agarwal: Sure. Okay. No problem. Thank you.

Moderator: Thank you. That question was from Mr. Kaushik Agarwal of Haitong . We now move to our next question that is from Khush Shah of Niveshaay Investment Advisors. Please go ahead.

Khush Shah: So my first question would be, should we think any gateway side as a medium term opportunity or any internal milestone over the next 12 to 14 months if we are expecting some revenue towards gateway system, gateway payments side ?

Amrith Rau : You know, on the online side, there are two parts of our business. One part of the business is when it comes to online classic payment processing for e-commerce companies. Other is what happens when it comes to bill payment services. In both of these services, I think we have actually called out here in our earnings report is our online payments platform. The volumes have actually grown by more than 50% on a year -on-year basis. We have already

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highlighted the fact that today Flipkart, Myntra, Blinkit, not Blinkit, Zepto, Big Basket all of these guys use our services on the online payments platform today.

Sameer Kamath: So online is a clear focus area for us, Khush, and we are seeing growth here. I think we have been sustainably growing there. We have been

adding new products like Apple Pay for

international. So I think it is a business that is showing a very high growth for us.

Khush Shah: Fair enough. My second question would be on the Japan side international market where there is an UPI pilot rollout. So, is there any side of any possibility or we can gauge around , we would be expanding on that region?

Amrith Rau : Which one? Which region?

Khush Shah: Japan. On the Japan side, there is an UPI pilot rollout.

Amrishi Rau : We do not have any presence in Japan. We continue to do some business development work around it , but no we do not have any presence in Japan as of now.

Khush Shah: Sir in coming future we are any expecting from Japan side revenue or any ?

Amrishi Rau : I would not speculate on that one right now .

Sameer Kamath: Where all we are present and how we are looking at it I think is presented earlier in the slide so that gives you a sense of where we are playing right now .

Khush Shah: Yes, so I was just seeing around Japan that a UPI rollout is going to happen, so I guess ed.

Sameer Kamath: I think, K hush, I am going to take an opportunity to just clarify to you what we are not just doing is taking Indian payment platforms and going global. We are actually going into

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global markets, their own unique payment system. So for example, when it comes to Malaysia, Malaysia has their own real-time payments infrastructure. Singapore has its own real-time infrastructure called PayNow and in UAE, there is a real-time payments infrastructure, which is called Aani . We power all of those payment transactions. So our approach to it is that we want to be a full stack payments provider in that market. So it is not just that we are following what UPI does and which countries UPI is going to.

Khush Shah: Okay. My third question would be, from a long-term perspective, how do we access the structural opportunity in the gifting and prepaid instrument ecosystem in India as there is not a proper market size to gauge how big is the market around the gifting side.

Sameer Kamath: In the RHP, we have actually given that information because we have done some market study on that. We also highlighted in some earlier conversations that we continue to process about 3.5 to 4 million transactions on a daily basis when it comes to prepaid. So there is a lot more information in the RHP.

Khush Shah: Thank you. Thank you very much.

Moderator: Thank you. Our next question is from Sucrit Patil from Eyesight Fintrade Private Limited . Please go ahead.

Sucrit Patil: Yes. Good evening to the team. My name is Sucrit Patil from Eyesight Fintrade Private Limited.

So I have two forward looking questions. My first question is, as Pine Lab operates a broad merchant payment infrastructure and Fin tech platform spanning POS, online payments, credit, and value added services amid strong digital adoption, how are you planning the product innovation and monetization across these verticals to strengthen competitive differentiation, especially as the merchant expectations evolve and new digital rails emerge

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across the global market? That is my first question. I will ask my second question after this.

Thank you.

Sameer Kamath: Sucrit two broader question. Honestly, I do not think so. I am going to take that question up at this point of time . I think , given a lot of information in the RHP. Today, I want to be focused on the Q3 earnings only.

Sucrit Patil: Thank you. Best of luck.

Moderator: Thank you. Our next question is from Srinivasu K from TIA. Please go ahead.

Srinivasu K: Congratulations for the strong set of numbers. My question is about the VAS activation that you said is 28% now. What is the target by FY2027?

Sameer Kamath: I think you have seen the trend at which we are moving, Srinivasu . I think the idea is we see a lot of

potential for enabling merchants. In fact, we have a large sales force which actually goes and activates merchants across these areas. I think the beauty of our business is, as Amrishi said earlier, we work with enterprise and mid market who have complex needs, who have multi products, and each of our value-added services are actually well entrenched for doing in each of these areas. So I think we are continuously working on it. We will not give a forward guidance here, but I think if you see on a year-on-year basis from about 21% of a growing base, we moved up to 28 % and that is the reflection of where we are seeing on the VAS business also growing at about 41 % as far as the GTV is concerned .

Srinivasu K : Okay the next question is about you launched agentic bill payment on LLMs so how are you going to monetize this and like and what is the privacy like how much data reaches LLMs and how much stays within your Setu?

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Sameer Kamath: So when it comes to the transaction process the transaction will happen within ChatG PT in this product that we have created. So what you could do is you could go into the ChatGPT, you can pretty much give a command or a prompt , which says that you want to pay a bill , let know the utility provider and your mobile number and the transaction will get completed. The second part in terms of privacy, I do not have that answer for you just now.

Srinivasu K : Okay. Thank you and best of luck.

Moderator: Thank you. Any participant who wishes to ask a question may click on the raise hand icon. We will take our next question from Vidhin Shah from Motilal Oswal Financial Services. Please go ahead.

Vidhin Shah: Congratulations on the good set of numbers and thanks for this opportunity. My first question is, Sir, depreciation on DCP as a percentage of revenue fell due to refurbished terminals. Do we expect net capex needs to structurally decline henceforth in the coming quarters and in FY 2027, Sir? And I will ask my second question later Sir.

Sameer Kamath: So to answer your question, yes, depreciation, both in absolute terms, will remain range bound and as a percentage to top line will reduce because of two to three things. One is the business mix itself, where a lot of international business across issuance, across the Fin tech infrastructure online does not require device intensity. And within our own segments, we have realized that we are a tech platform. So I think we want to ensure that some of these devices, et c., are directly bought by merchants and by banks and therefore unless we see a strategic reason to sell and lock in a merchant to us, we will not do that. So that is a structural shift we have done and going forward also, you will see depreciation and capex being fairly range bound and as a percentage to top line coming down.

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Vidhin Shah: All right. That is helpful, Sir. Coming to my second question, Sir, you disclosed that approximately 50% to 60% of the efficiency gains, and as mentioned by Amrish Sir earlier and that the code is written through AI if I remember correctly, 21%. So can you quantify, if possible, as to how many Opex dollars are saved and how much flows to EBITDA versus reinvested?

Amrish Rau : No, we have not started to do that as yet and honestly, the answer related to this is we continue to invest into new products. We continue to invest into new geographies. So no, we do not do that calculation which says that because of this 21% of the code which is being written using AI what could be the potential saving from net account standpoint. What we have very clearly calling out is it is not that we are saying that we will be reducing our team size going forward because there is enough and no more project work expansion work , product work which is coming our way, that is where we go ahead and use the existing capabilities

ties from an engineering standpoint. So specific to your questions, no, we do not calculate it in that fashion.

Vidhin Shah: Understood, understood. That will be all, Sir. Thank you so much and all the best for the future.

Moderator: Thank you. That was the last question. I hand the call back to Mr. Amrish Rau for closing comments. Over to you, Sir.

Amrish Rau : Thank you very much. Look again, like last quarter, I started to give some indication of how Q3 is going. Q3, as I have shown you, has been a terrific quarter, has been a record breaking quarter both on the revenue side as well as at a PAT side. Payments is a very interesting business that you can actually get to see almost what is going to come up over the next nine months or 12 months period. We are in an environment where we think we are continuing to

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win businesses. Volume keeps on increasing on our platforms. So we are feeling extremely good, for example, what we are getting to see both at the economy level as well as market

level. So hopefully, we should be gathering again in Q4 in a similar buoyant mood. Thank you.

Sameer Kamath: Thank you, everyone. And if you have any further questions, feel free to reach out to the investor relations desk. I think the contact details are given on our website. Thank you and have a good day. Bye.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Pine Labs, I would like to thank each one of you for taking time out and joining the call today. We now conclude the call. You may now click on the leave button to exit the meeting. Thank you all for your participation.

Call: Jun 2026

Date: June 1, 2026

To,

BSE Limited,
20th Floor, P.J. Towers,
Dalal Street,
Mumbai - 400001.
BSE Scrip Code: 544606
National Stock Exchange of India Limited ,
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051
NSE Scrip Symbol: PINELABS

Sub: Transcript of the Analysts / Institutional Call

Dear Sir/ Madam,

Pursuant to Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the conference call that was organized with the Analysts/Investors on Tues day, May 26, 2026 and the same can be accessed at [www.pinelabs.com/investor - relations/financial -results?tab=quarterly -results](http://www.pinelabs.com/investor-relations/financial-results?tab=quarterly-results) .

We request you to kindly take the above on record.

Thanking you,

For Pine Labs Limited

Neerav Mehta
Company Secretary and Compliance Officer
Membership Number: A20949

Encl. a/a

"Pine Labs Limited
Q4 & Full Year FY2026 Earnings Call"

May 26, 2026

Management: Mr. Amrish Rau – Chief Executive Officer
Mr. Sameer Kamath – Group Chief Financial Officer

Moderator : Good morning everyone and welcome to the Pine Labs Limited Q4 and Full Year FY2026 earnings call.

Thank you for joining us today. Please note that all participants will be in listen -only mode and this call is being recorded for reference.

Representing the Pine Labs management team today are Mr. Amrish Rau, Chief Executive Officer and Mr. Sameer Kamath, Group Chief Financial Officer.

Here is how the call will flow. Mr. Rau will begin with his opening remarks, followed by a couple of product demonstrations and an overview of the business highlights. Mr. Kamath will then walk you through the Company's financial performance, after which w e will open the floor for questions

during the Q&A session.

Before we get started, a quick reminder. Some of the statements shared during this discussion may be forward looking in nature, and actual results could differ materially due to a range of external factors. This Zoom session is intended exclusively for investors and analysts. If you are joining us from a media organization, we kindly request that you disconnect at this time and reach out to our Investor Relations team directly with any queries.

With that, I now hand the call over to Mr. Rau. Over to you Sir!

Amrith Rau: Thank you very much. Good morning. Thanks for taking the call early in the day. We released our numbers yesterday. We would want to give some more color on how we are looking at the business and what we are doing in the business. We are going to keep this largely as a Q&A session, but what I felt was just appropriate. I give a little bit more in terms of what is happening in the market, what is happening in the field, give you more color on that one, and then get into specifics about the business and take some questions on that. The numbers are pretty much there in our yesterday's release, so we will be repeating through on the numbers. As we have always said, our vision has been clear. We want to build the greatest Fintech coming out of India, being able to serve not just Southeast Asia, Asia, but also the larger global markets out there.

As we mentioned, we operate in two large business lines. One is the digital infrastructure and the transactions business, and the second is what we do on the issuing and acquiring side. Within the digital infrastructure and transactions, there are three parts to our business. One is the offline business of ours, the offline and the online business. That basically is the infrastructure business, allows us to operate with large merchants. On top of that, we have our flow-related, transaction-related services, which is largely monetized by us, by the transaction, or by the value of the flow, which operates on that infrastructure and third is what we do Fintech infrastructure, both for banks and financial institutions, as well as merchants. So these are the three lines within the digital infrastructure and the transactions business and then the last business, which is now almost about 30% of our revenues, is what we do on the issuing and acquiring side. We always believe that it is not just relevant for us to operate on being able to receive money, but also where money is held and where money is being sent out from that is going to be extremely important and that gets covered in what we do on the issuing and acquiring side of the business. As I mentioned, it is about 30% of our revenues.

So this is the way in which we run our business. This is the way in which we run our financials out there. At the lowermost point is what we do in terms of the infrastructure and the distribution of infrastructure. As we have said, we have now reached almost about 2 million touch points that we operate in. We are making tremendous progress on the online side of the business. On the online side of the business, we are now present with the top three e-commerce companies, the top three quick-commerce companies

with our payment gateway-based platform. On top of that, what we do is we really deliver services both for retailer and for banks and financial institutions. We announced a few days back what we are doing, for example, with the three petroleum companies and it is quite a complex solution that we have developed for the petroleum sector. We actually cover for loyalty-related services for the petroleum sector. We also deliver solutions for banks and financial institutions. So again, we do a lot of work with HDFC Bank and ICICI Bank, but we have been able to take this global where we are doing services for Emirates NBD, in Philippines we work very closely with GCash, so we deliver very sector-specific solutions on top of the infrastructure play that we do. The third layer out there is we deliver more services so that we bring customers into the banking institutions or to the retailers. That is where our affordability solutions delivers the loyalty-related products, the rewards, cashbacks, all of these services comes on the third layer and now what we have started to do is we have actually started to monetize on the basis of the

data that we have collected out there, the marketing services that we can deliver on top of the infrastructure and the services that we have provided. We are continuing to invest heavily into this space. We just recently launched a product called SignallQ where SignallQ allows us to look at consumer data. We work very closely within the account aggregator framework on the basis of the data that we get, on behalf of our partners, we are now delivering analytics-based solutions for better underwriting in the market. We actually have about eight clients with us, either in the pilot stage or fully contracted with us for this product called SignallQ. I will talk later about the recent acquisition that we did around Shopflo which is in the online payments space, but if you see there is a very clear strategy - layout the infrastructure first, deliver solutions which are domain specific, get flow-based revenues going out there and as we collect more data, as we collect

more information about our merchants and about their customers, we can deliver value to them and that is actually starting to come through in our financials. That is one of the reasons why we have been able to move from an infrastructure specific revenue model to transaction or flow-based revenue model and information-based revenue model.

As I told you, that is what being reflected in the numbers. We came in with about 19% growth on the revenue side. On an adjusted EBITDA side, from somewhere around Rs.357 Crores of adjusted EBITDA, we have now delivered about Rs.559 Crores on adjusted EBITDA. We made significant progress in terms of EBITDA margin. We made almost about 500 basis points improvement on the EBITDA margin side. Going into FY2027, we have not really given a very specific guidance in terms of EBITDA, but what we have done is we have given out a hard guidance when it comes to revenues. We think we will be able to grow at about 21% to 23.5% on a year-on-year basis as far as revenue is concerned. We have already shown how we see the flow through between revenue, contribution margin, and adjusted EBITDA in our business, so we definitely feel confident that we will be able to significantly improve our adjusted EBITDA going into FY2027 and obviously what that does is it converts into very strong PAT, PBT and we delivered about Rs.113 Crores as far as PAT is concerned. Another question which had been coming up all through the year had been around the operating cash flow. We had been at pains to explain to the street that this is a Company, which can deliver free cash flows, can deliver very, very strong operating cash flows in the business. I am glad to say that we delivered almost about Rs.676 Crores of cash flow in Q4 only. I am going to be the first one to tell you that this R

s.676 Crores should not be looked at on a standalone basis. You have got to look at what happened on a full year basis where we came in

at about Rs.395 Crores of operating cash flow. We feel confident that we will improve on the cash flow in FY2027 in a very significant manner. So this is a Company which is giving enough weightage on everything, including operating cash flow and I am quite pleased with where we have come up as far as our financial is concerned.

These are, again, numbers which are specific to Q4, but I wanted to throw some light on what are the underlying metrics which are there, which are leading for us to deliver to those financials. As I mentioned to you on a full year basis, we came in almost close to about \$200 billion of payment volume. That is just a significant growth as far as GTV is concerned, but what that is telling me is across markets, we are winning. We are winning market share in the offline business, we are winning market share in the online business, we are winning significant portion of the flow-based transaction-based revenues in the industry. Again, as I told you, we are at about 2 million touch points today in the field but I also want to give a little bit more color. Look, I used to always tell my mother saying that, hey, when you go to a restaurant, you are not necessarily going to get to see Pine Labs because this is not the core sector that we want to go after. But honestly, if you actually go out into Mumbai, Delhi, and so me of the other metros, you are starting to see Pine Labs everywhere. You are getting to see Pine Labs at restaurants, you are getting to see Pine Labs at the petrol pumps, you are getting to see Pine Labs at merchants who have two or three stores. There is a very significant change which is happening in the field. One, banks and financial institutions are clearly realizing that payments is a very, very unique proposition and they are calling Pine Labs much more, but we are also getting to see our direct to merchant strategy payoff. We are getting to see an environment where competition is starting to back off out of this market because their requirements and their business models are quite different from where we are. So we are getting to see significant progress as far as on the field is concerned. In the last six months time, in segments of the business, we have actually been able to deliver almost 7% improvement in the unit economics in those markets. That is one. In the online space, we are making very good progress. We have actually now grown that business almost by 60% on a year-on-year basis. All the three quick-commerce companies, all the three e-commerce companies are today using Pine Labs as a platform. I see this going to be a very significant growth area for us as we go forward. Just to throw a little bit more light in terms of the flow-based businesses, we continue to gain market share as far as affordability is concerned. We have increased the number of brands that we operate with. We are signing up more and more NBFC so that we can deliver credit at the

point of purchase. We believe that NBFC is going to be a very significant play as you go forward. I just want to throw a little bit more light on this business. What merchants are telling us is that I do not want my platform partner, which is Pine Labs, being wedded to one NBFC. So we have not launched our NBFC, but what we are continuing to deliver is we are continuing to deliver more choices to the merchants as well as their consumers. So if a consumer is coming in with one NBFC

as their “favored partner” or somebody who has already underwritten them, they will be able to deliver credit at the point of purchase, so the more the NBFCs, the more line of credits that we can avail and deliver at the point of purchase, more the brands where the subvention is possible. So it just becomes a very strong network play and that is something

which continues to improve.

As far as the issuing business is concerned, our issuing business has shown tremendous growth not just in India but also in global markets. Many new specific use cases are coming up, and these use cases are from wallets or rewards being an infrastructure play. We are actually seeing some very important steps being taken by Reserve Bank of India in the last few days, where RBI recognizes the fact that when you actually look at the various business models, PPI is a very important business model, both for the retail and the consumer, and they are actually streamlining the processes, streamlining the governance related to the prepaid business, and we absolutely appreciate all of that. We are also seeing a very big opportunity come up when it comes to employee benefits. We will be launching an employee benefits program over the next few weeks and quarters. We think this is going to be an opportunity where we will be able to address a large number of both consumers and corporates. So on the issuing side of the business, I feel very comfortable that growth is sort of being taken care of. Internationally, and even just now as we speak, I am in Europe, but internationally, we are getting to see more conversations happening as far as our products are concerned. There are two things which are happening significantly. One, the big boys of payments coming out of the US, and may that be a Stripe or Adyen, they are seeing a phenomenal opportunity in their home markets of the US. They are spending a lot more time in those markets but that does not mean the emerging markets do not require FinTech solutions. What we have delivered here in India and the tech stack that we have created for the Indian market is extremely relevant in, let us say, a Philippines or Vietnam, or for that matter, UAE. Just to give you one simple number out there, in the case of Philippines alone, which is our newest market, we have five clients today in Philippines. The largest Fintech app in Philippines is somebody called GCash and GCash is using us as their payments infrastructure

layer. So you are getting to see very, very strong progress. We are getting dollar-based revenues when it comes to our international side of the business. You will see in our releases that we made very good progress in the year of FY2026 in the international markets. We see that continuing going into FY2027 too.

I wanted to shed a little bit more light as far as AI is concerned. In our business, almost 89% of all new code, which has been written within Pine Labs over the last two quarters has been completely AI generated. Let that sink in. 89% of all new code has been written using AI. It does two things for us. One, it provides tremendous efficiency as we build for new products within the Company, but also when you look at legacy platforms that we had built, those legacy platforms are getting updated. Those legacy platforms are getting improved as we speak. We have been working very closely with Anthropic of the world, as Mythos is being released. We are one of the first guys to actually reach out to Anthropic to see what we can do, partner with them so that we can actually get the best use of products like Mythos but also we have gone ahead and signed up a partnership with OpenAI where we will be one of the first few design partners with OpenAI as we build out AI products in the local markets. The second piece where AI is playing a significant role is all our consumer-facing touchpoints has AI at the background, and we are incorporating that within our business model. And third, we are actually using AI to deliver significant solutions in the market. I wanted to show you some products and demos today. Just too early in the morning to try and go through two product demonstrations as all of us are ready to leave for office there so I decided to keep that away, but in Mumbai, over the next three

days, there is a program which is

being delivered by the Mumbai Tech Association we are actually going to talk about what we are doing when it comes to AI and agentic commerce. We have developed entire workflows, may that be around using UPI and agentic payments and deliver the transactions in the field. So we are completely ready in using AI and using agent-led framework to deliver payment transactions. So we are doing three things. One is improving efficiency, improving code, improving new products and using AI. I am now going to stop and basically take questions related to our financials and also shed some more light in terms of how we are looking at the business and where we are seeing the opportunity in FY2027.

Moderator: Thank you Sir. Ladies and gentlemen, we will open the floor for question and answer session. If you would like to ask a question, please click the raise hand button on the bottom toolbar of your Zoom

window. The operator will acknowledge you and announce your turn in the queue. Ladies and gentlemen, we will pause for a brief moment while the question queue assembles. We will take the first question from Jayant Kharote. Please go ahead.

Jayant Kharote: Good morning, Amrish and Sameer. Thanks for the opportunity. The first question is on the growth itself. Given that we are already two months into the quarter, how is 1Q looking and does that make you confident on the 21% to 23%? Will this be something that we will see through every quarter for the four quarters?

Amrish Rau: Jain that is a good question. We feel very confident about the hard guidance that we have given of 21% to 23.5%. We are already getting to see how the numbers are rolling in for Q1. Look, the way I am going to say this is when we actually went to IPO, the entire market asked us a question which says this Rs.5 Crores to Rs.6 Crores of PBT positive, which we had started to show in Q1 and Q2 of FY2026, people are asking us everything from, is this a fluke or is this a onetime kind of a number? We had great focus to try and explain to the market saying, this is a business which can run PBT positive, PAT positive for a long period of time and that is what we wanted to get right. As soon as we started to get right, there were questions around when Q3, when our cash flows turned negative, it says, is this truly a cash generating machine out there and we wanted to really get that explanation out to the street. We focused out there. I would have loved the growth to be 20% north when it comes to Q4 also. However, when you look at the full year basis, we came in at about 19%. Even H2, we came in with almost 20% to 21% as far as growth is concerned. I feel very confident in this hard guidance that we have given of about 21% to 23.5%. We have incorporated the softness that we have seen when it comes to the Middle East markets and also some of the softness that we saw on the airline part of the business. So we feel very confident about the 21% to 23.5% revenue guidance that we have given.

Jayant Kharote: If you could also elaborate what was softer in 4Q and how does it change in 1Q?

Amrish Rau: Yes, that is a good question again. See, look, what I have always said is in the case of payments business, there are many external events which obviously drive us. The economy and the consumption-related activities. Second is what is happening in terms of geopolitics, which affects cross border trade, or for that matter, how banks and financial institutions want to invest when it comes to payment-related solutions. And then third, something which is equally important and

we saw this during COVID period was there was clearly a chip shortage which came through in the COVID period. Even now when AI related, actually not West Asia related, but more AI related, there was a chip shortage which we had seen. There was a time in Q4 where we had a backlog running of almost 2 lakh POS machi

nes which we had to deploy in the market and which got delayed so that between Q4 and Q1. I have to say that it is all behind us right now. Everything on the supply chain is in place. We have enough to deliver in the market. So there was clearly an impact that we saw when it came to decision making from some of these Middle Eastern banks and financial institutions and you know, it is about Rs.15 Crores to Rs.20 Crores out there, it is nothing major. But the way I want you all to look at the business is I believe that growth in the payments business is something which can very easily be controlled out there. What is the kind of growth that you are bringing in? What is the kind of EBITDA margins that you can sustain at that level? And you have got to put everything together. As you know, we improved the EBITDA margin by almost 500 basis points in the year of FY2026 also.

Jayant Kharote: I am really sorry to harp on this. I am not getting a clear answer maybe because within the digital infra business is it affordability, VAS or the in store subscription piece? Which of these three have actually flowed in 4Q?

Amrish Rau: Largely related to the infrastructure piece, the Rs.20 Crores to Rs.25 Crores which we would have liked to see coming in higher in Q4, which is largely related to the infrastructure piece. There is a small component when it came to the affordability and the flow-based transaction services, but largely around the infrastructure and deployment of some of these solutions.

Jayant Kharote: Then it should start coming through from 1Q itself?

Amrish Rau: It has already started. Sorry, you asked another portion of the question. So when we have come up with the guidance of 21 to 23.5 in the year of FY2027, we do think that Q1, which is the weakest quarter for us on a full year basis, we will still get to see the lower end of the guidance play through in Q1 itself, but as we go forward in the rest three quarters of the year, we will start to see improved growth rates in Q2, Q3, and Q4. That is the way we would see the numbers stack up for us.

Jayant Kharote: Great. That is very re-assuring. So you do plan to hit 21 within the next quarter itself?

Amrish Rau: Absolutely. Now, is it going to be 20 or is it going to be 21? Let us see how the quarter ends, but yes, I definitely do see this. Absolutely. Absolutely, I do see this on the lower end of the guidance to start off in Q1 itself.

Jayant Kharote: One last question to Sameer. The depreciation amortization line has a Rs.6 Crores item in Q-o-Q what would you attribute that one to?

Sameer Kamath: At the year end, we do a full clean up of any obsolescence or anything which is required based on what we can collect from the merchants, etc. So, there is a onetime annual activity. The amount is about Rs.4 Crores to Rs.5 Crores. The rest is all linked to certain business growth that we have seen a little bit coming through with the oil marketing companies, etc., but otherwise, this is just a onetime clean up which is done. On a run rate basis, it will be lower.

Jayant Kharote: So this is not recurring, right?

Sameer Kamath: No, no, no. This Rs.5 Crores is a yearend cleanup that we do where we clean up any old obsolete items, etc., though we do some provision, but at the year end, we threw it up fully for the year.

Jayant Kharote: Thank you again. I think congrats on the good profitability we expect hopefully we will hope for better growth from 1Q onwards.

Amrish Rau: But look, I, again, just to reiterate out there, I guess, and as far as we are concerned, we want to show this as an all around business which has enough levers to drive growth and also to drive not just the PAT, but also in terms of our cash flow-based performance.

Moderator: Thank you. That question was from Jayant of Axis Capital. We now move to our next question. That is from Pranuj Shah of 3P Investments. Please go ahead.

Pranuj

Shah: Thank you for the question. So, yes, great to see the traction on the operating cash flow and the thing what you mentioned in 3Q delivered on that. Just on the capex part, this Rs.238 Crores, could you break it down between DCPs and what are the other components and how do you expect that to trend? So that is the first question. The second is, again, like strong revenue guidance at 21% to 23%? I am assuming I think international and distribution would be a big part of this so on your contribution margin, this 75%, do you expect this to taper off going ahead? You are given a

flow from contribution to PBT. I just want to see on contribution margin, how do you expect that to trend?

Amrish Rau: I will take the second question and request Sameer to address the first part.

Sameer Kamath: Let me take the first part, Pranuj. I think what you are seeing is capex in the operating cash flow. As Amrish mentioned when the DCPs were procured in the earlier avatar we had in FY2025 certain outstanding payments which came through this year. So on the operating cash flow basis you see Rs.238 Crores but adjusted for certain opening payouts which is there the run rate of capex is about Rs.180 Crores to Rs.190 Crores which remains. So when you see Rs.238 Crores about Rs.160 Crores to Rs.170 Crores pertains to DCPs which is more or less on the run rate that we have been done. Rest is related to certain older payments that we made so that will remain at that level. That is the first question on the capex side.

Pranuj Shah: Sorry, just a clarification. This DCP one is also slightly higher because of the OMC?

Sameer Kamath: See, what happens is when you procure this quarter in Q4, while we are expecting deliveries to happen given the chip shortage, all suppliers are asking for advances. So, CWIP also gets covered in that.

Pranuj Shah: Okay. So this should slightly come off in FY2027.

Sameer Kamath: The chip shortages, as Amrish said, we looked at alternate supplies. We have got on supply chain partners. So that is a corporate phenomenon because of the war, because everyone is working on a 100% advance. So while the delivery was not happening, we could not book revenues, we had to incur advances and pay that. It is sitting in CWIP.

Pranuj Shah: Understood. Got it.

Sameer Kamath: Sorry, go ahead Amrish.

Amrish Rau: Yes. So as far as, sorry, I lost my thought because I had a comment to make on the first part. So on the first part, I just wanted to add something. We had a very similar situation play out during the COVID period also, where we have gone ahead and upped the inventory that we had built in

our business. On the second part of the question, what I wanted to share with you is, look, we are operating at world class levels as far as contribution margin is concerned. I was just looking at Google's number. Google is almost about 56% to 58% of contribution margin. We are in the 75% range. We operate at a net revenue basis and because we operate on the net revenue basis, and what I mean by net revenues, we do not have grossing up where we take 2% as our revenues. We just take the net to come to our revenues. Because we operate in that fashion, in most part of our

businesses, our contribution margin continues to be at a higher level. That is just a business principle that we have held for a long period of time. We do not intend to change from that operating model. That is point number one. Point number two, however, what is happening is we are getting into newer businesses. For example, as we go into an employee benefits kind of a business in this year of FY2027, how the financial recording in that is concerned, that is obviously going to come in with a slightly different range when it comes to contribution margins in our business and because of that, there could be 2% to 3% up and down, which can happen when it comes to contribution margin. The larger point is

that what I want to make out here is the business that stands today I really do not see the contribution margin changing from where it is operating at as far as we are concerned. As newer business line comes in, because of the revenue mix which is coming through, there could be a change of 2% or 3%. So yes, what we are saying out there is there could be a variance of 2% or 3% as far as contribution margin is concerned because of the business mix but in terms of our operating model, we actually do not have a chance to change the contribution margin in a different manner purely because we are operating at the net revenue level.

Pranuj Shah: Amrish I understand. Thanks. That was very clear. So just a clarification, this 21-23 is not net revenue. This is the headline revenue.

Sameer Kamath: That is correct.

Pranuj Shah: It was in delta is what you can see.

Sameer Kamath: At a contribution margin level, we came in at about 73% to 74% in Q4 on a full year basis. I think we would have come in at about 74% to 75% on a full year basis.

Pranuj Shah: 2% to 3% delta is where it can go either way from here.

Sameer Kamath: That is correct. As we have explained in the deck also, Pranuj, I think in our issuance business, our value proposition is not just the backend tech infrastructure. We actually help and partner with brands in acquiring and retaining customers and distribution of those cards either directly through our enhanced portal, which you have put out in the deck as well, or through third party marketplaces where we have a pass through distribution cost becomes a critical lever. The good part is distribution incrementally is additive to the EBITDA while it may be smaller on contribution level but also it fuels the processing business because brand sees value in the holistic program offering that we have and that is why as we explained in the last quarter as well we will remain in that guidance range that Amrish has said but this is where the new edge for us in terms of what value we deliver to the clients comes up.

Pranuj Shah: Perfect, understood. Thanks a lot Amrish and Sameer.

Moderator Thank you. Our next question is from Prakhhar Sharma of Jefferies. Please go ahead.

Prakhhar Sharma: Good morning everyone. Thanks for doing this call and the clarity. I have a quick few questions. First part is, can you discuss the trends in terms of the affordability business that you are seeing for the quarter and may be early part of this quarter and what do you expect for the full year because we are seeing a lot of credit card players pull back on offers and I do not know what is the change they are doing in terms of strategy on subvention, so if you could discuss that part of the business first?

Amrish Rau: Yes, that is a good question. Look, I will have to say right now when it comes to offers and programs being run by banks and also for brands are concerned, there is always a change which all of them have been doing and the change has been going on for many years where what we are getting to see is as soon as a certain category is becoming very relevant and understood by the consumer some of those offers are being taken away. One of the largest banks in India in the last two to three years period started to pull back on the offers that they had running with one of the largest mobile phone brands around the world. Now obviously what that meant is that the bank and financial institution believed that consumers are ready to pay for that product and consumers are ready to go in with a lower offer based program, but they will still be able to see traction. Now, that move has been going on for the last two to three years, but what we have equally seen from banks and financial institutions, they are coming up with newer programs

where they want to promote affordability solution. One sector which I can give you a very immediate guidance is around what is happening

in terms of EVs. One of the leading EV players in the market, we are now getting to see traction coming up when it comes to affordability in the EV segment. We are seeing similar such opportunities open up, not just in terms of EVs, but also in

terms of regular non-consumer durable brand-based affordability solutions, which are starting to take off. So yes, we are getting to see a change when it comes to banks and financial institutions behavior when it comes to subvention, but it is popping up in other parts of the market where they are promoting it. So that is one part. Second part, which is very important and which I have to clarify out there is, obviously what we are getting to see is if the consumer durables takeoff in the market is lower, affordability solutions takeoff also gets slightly lower. There what we are doing is we are working hard so that we can go and compete against new line of credit which is being delivered. There are NBFCs and there is a world class NBFC which delivers new line of credit at the point of purchase and they have been doing it over the last 10 years. Our objective then starts to become how do we take our banks credit card-based line of credit and start to compete with them much more proactively. So we have been continuing to do that. So how can you improve the number of stores? How can you improve the number of credit lines which have been delivered at the store so that we can continue to maintain our growth? My CFO and I, we talk a lot about it where what we do not want to do is we really do not want to go back and say that, look, there is a softness in the affordability business just because consumption is down or just because mobile phones are less being procured out there. Our job is to come up with newer sector, come up with newer touch points so that we can still maintain the year-on-year growth when it comes to affordability. But I just want to again clarify right, in the flow-based services, there are multiple revenue lines that we have been now able to generate. May that be around DCC, may that be around what we are doing with consumer Fintech partnerships that we have in the market and we are continuing to increase the consumer Fintech partnerships. We today have partnerships with at least three, if not four, consumer Fintechs so that they can take their offers to their consumers at the point of purchase and maybe these offers are not just affordability offers, but these are offers, for example, buy a coffee at 50% of the price, convert it into an offer-based transaction.

Prakhar Sharma: Got it. Is it possible to clarify the split between affordability and VAS either in terms of revenues or the GTV part?

Amrish Rau: We have not been keen to show that in detail right now, Prakhar, but if you would have seen, we started to give out a little bit more information. One of the things that we have proactively gone out and said, wherein our online business, we have grown by 60% on a year-on-year basis. That is a very proactive step that we have taken because we feel that now that we have shown the market that we have been growing in online by 60%, we should be able to track to that number and keep improving on that number going forward. We will continue to show more detailed breakup also as we go forward.

Prakhar Sharma: Got it. Just a few followup questions. One is, over the last one year there has been an adjustment on the contribution margin even as you have delivered well on your EBITDA, adjusted EBITDA guidance? As the year goes through, how do you think we should factor the contribution level for FY2027 -FY2028?

Amrish Rau: Prakhar, as I said in the last question, I think you should assume a variance of 2% to 3%. If you saw in, for example, in Q3, the contribution margin was higher than where it was at Q4 and in fact, even in terms of Q2, so Q2 was slightly lower, Q3 was higher, and then the Q4 came in slightly

lower. I

think it will move around in a 2% to 3% kind of a range is what I would want to mention out here.

Prakhar Sharma: And from a full year perspective, like for FY2026, that is the benchmark?

Amrish Rau: I am not actually giving a guidance on that one because I do not have a handle yet in terms of the breakup and how the breakup will flow as far as revenue is concerned or volumes are concerned but we will continue to give a more specific color on this between all our calls.

Sameer Kamath: So, Prakhar, the only thing you need to keep away is actually we are seeing no margin pressure. In fact, we are actually seeing some price ups happening in some of our segments. Whatever change you are seeing is purely an outcome of the business mix versus anything else and not because. In fact, we are seeing ability to price better in many of our segments because of the reasons Amrish mentioned at the opening level and we can maybe share more color as we go through our remaining quarters to gain comfort on that as well.

Prakhar Sharma: Got it.

Amrish Rau: Yes, I wanted to make one point which I should have done in my earlier call also. When you go to lower than the enterprise merchants, and these are merchants with about five stores, six stores, we actually saw an infrastructure business where we deployed POS machines and did integrations out there. We actually saw on a year-on-year basis almost 30% growth and that is

an area where our unit economics, we have actually been able to improve about 7% so not just market expansion, but also at a better operating model.

Prakhar Sharma: Just quickly, you did mention on the call, that you are seeing some sort of a competition pullback happening in the POS business or any of the other businesses. So, one, if you can give some more details on what you are seeing on the ground? And secondly, your growth guidance, I assume it will include the, Shopflo and any of the inorganic things but just to confirm besides the = Shopflo acquisition does the guidance include any inorganic boosters?

Amrith Rau: No, it does not. It does not include any inorganic boosters to our numbers right now. As I said, when we made the acquisition around Shopflo, Shopflo on a revenue basis, compared to the larger portion of the business, is still extremely small. It is a product led acquisition that we have done. So even in the case of Shopflo, it is not going to have a material impact when it comes to the growth numbers of concern. Will it help us to deliver to, let us say, a 50% to 60% growth on the online side of the business? Absolutely. Without that, would we have come in at 50% to 60%? I think we would have still come in that kind of a range. It just helps me to cement it, but it is not going to be material. But we have not included any inorganic numbers there. In terms of field and what is happening in the pullback, look, I will give you very specific examples. When it comes to these petroleum companies, and we will be deploying our terminals at almost about 50,000, and we have already started 50,000 terminals. These locations are far flung locations out there. These are on highways. These are in small villages of the country for somebody to go into that segment, they are going to have to deploy people to go into that segment out there. It is a huge commitment for somebody to go into that area if they are not already present in the offline side of the business. We are getting to see the newbies in this business actually pull out of it because it is just not economically viable for them to go into that segment. I mean, I would have done the same if I were in their place. So that is one segment. So newcomers pretty much are taking a step back out of it because just not economically viable to go in there. The second is we are seeing a certain segment of businesses where they are basically saying that, look, their large revenue

models i

s not around payment based revenues. The large revenue models are around what they do around the financial services and how they monetize financial services and hence, the segment of merchants that they want to focus on is completely different than an OMC. I mean, for example, an OMC does not need the loan today. So hence, this is not necessarily a segment which somebody would ideally want to go after. There is obviously a little bit of play out there, but that is not necessarily a segment that somebody wants to address in the market. For us, this is bread and butter. This is where we make our money. As I have said it for a long period of time, we actually do not do any lending related business in our Company. So we have no choice but to focus on that merchant base, which will be able to pay for our technology that we deliver.

Prakhar Sharma: Perfect. Thank you so much for all the details.

Moderator: Thank you. Our next question is from Aryan Tripathi of Emkay Global. Please go ahead. There seems to be no response from this connection. We will therefore move to our next participant.

That is Gaurav Rateria of Morgan Stanley. Please go ahead.

Gaurav Rateria: Congratulations on strong performance on operating profit and cash flows. I have actually three questions, Amrith. The first question is that you have let significant amount of revenue pools in each of your segments. If you could help us to bridge the gap between the 17 and 21 to 23.5 guidance of which revenue pool will see an acceleration and which will help to kind of give us comfort on bridging that gap. That is question number one. The question number two is any color on what has been the revenue growth in the affordability business per se within the flow and segment you had in FY2026 and how much has been the same store growth versus that of the expansion to the larger percentage of the terminal generating this revenue? That is question number two. The last question, I was quite intrigued by the comment on the new segments that you are adding on employee expense, which probably will be dilutive to the CM, but may not be dilutive to your operating profit? If that is the correct understanding that I have, then your conversion of the incremental contribution profit to your adjusted EBITDA, that number ideally should improve more than 55%, which you are mentioning for your business, so is that understanding correct? Thank you.

Amrith Rau: Let me start with the last point out there. So there are two parts of the last point which you are making on the contribution margin side. If our contribution margin is in the 70% to 75% will we be

able to capture more to the EBITDA line than what we have shown at 55%? The answer is yes. Then why is the number at 55 and why is the number not at 65, for example, is because we do not want

to give out a guidance, a hard guidance, where we feel we will not be able to deliver to it or not be able to achieve to it. So 55 is a number that we feel super confident that we will not be able to miss. That is the reason why we explained that about two quarters back. When it comes to contribution margin and for example on the employee benefit that was an example and the reason I am calling that as an example is because what will be the accounting rules and how the financial model will operate it is not clear to me today as we launch this product over the next 45 days to 60 days period for all you know it is an entirely 100% net revenue based revenue recognition that we would have to do and then I would see no fears when it comes to will the contribution margin be at 75% and higher, it could be very well be higher on that. I just wanted to give this as an example of new business. I am not giving specifics of what the contribution margin on this business is concerned. So that was just on the last point. In terms of the breakup of revenue growth, look, before we went to IPO, what we were s

ort of talking about is that we felt that the lowest growth will come out of the infrastructure side of the business. We actually see about 2% to 3% improvement and again, I am not telling you hard numbers out there because I think it is unfair for me to give you hard guidance on segment level revenues out there but we are getting to see that there will be at least 2% to 3% improvement on growth when it comes to infrastructure business, which is really the POS and the deployments or for that matter payment gateway based classic transaction based revenues that we get, that we are seeing actually grow a little bit higher than what we had assumed earlier. So that was point number one. The second thing is when it comes to flow based revenue s, again in the flow based revenues we had guided to us, not guided, but we felt comfortable with where the growth rates would be and that I do not see any change in those growth rates, largely related to what we are getting to see in affordability but also in the kind of services that we are continuing to add on the flow -based revenues. Again, just to give you specific examples on that one is, now that we have a lot of data related to consumers, that is our merchants, consumers, and about the merchant itse lf using AI, we are actually being able to create a nice interesting revenue streams wherein we give them better insights about their consumers, data related to their consumers and we are starting to charge them for that services and that is just a new revenue line, which has been growing for us over the last two years. Now all of these new services that we are delivering are allowing us to keep the flow -based revenues to

operate at the same growth levels where it was and then the third area for us, from a growth standpoint is going to be in terms of international markets we have said this before that we feel Southeast Asia, Middle East, and Africa is a very interesting play. We just launched our POS -based services, and you will see a lot of marketing associated to our POS -based services when it comes to Singapore market. So we launched our POS here in Singapore and again, the argument is very simple. Why should an American Company deliver payment -related services in the Southeast Asian markets and Pine Labs, which has the best payment -related solutions, should not be addressing the markets before. So we are actually going proactively into markets and saying, let us try and win deals against the global majors when it comes to payments. At least two deals which we have won are direct head -to-head competition against global large payment companies, and we have actually won those deals. So we do see international driving growth and that is the one which is giving us a comfort around the guidance that we have given on growth.

Gaurav Rateria: Thank you. Just a question on the affordability revenue growth in FY2026 and what would be that number for the same store growth basis?

Amrith Rau: Sameer, have we given any color on that one? Can I leave this question to you based on the color we have already given?

Sameer Kamath: I think not specifically given a color as such but I think what is a big opportunity for us, Gaurav, is almost probably a third of the growth that we look for in this business comes from activating merchants and I am not saying technically. Technically all stores are activated but a large part of our effort is to make people aware of EMI as an option, both at a customer level and at a merchant level and we have seen significant, maybe as I said, maybe 25% to 30% of the growth come in from activating merchants and stores and now, as we said, as we are moving into new categories like some other categories, EV and Non -CDIT categories, I think activation will continue to play a very important role. If you have seen, even in our deck, we have given a ratio, which we have been guiding for some time, saying that is

an improving ratio. A year back, that number of POS machines activated for flow and transaction, this includes all kinds of services, we are at 21%. That has improved to 30% and obviously, it starts with a small number and keeps multiplying thereafter. So I think that is a number which we will continue to add to our growth for the broad guidance and ambitions given of 21% to 23.5%.

Gaurav Rateria: Thank you and all the very best.

Moderator: Thank you. A quick reminder to our participants, if you wish to ask a question, you may click on the raise hand icon.

Amrith Rau: I also in general want to proactively answer a question. See, the payments in infra business, while there might be a swing of 1% or 2% here and there, one thing that you can remain very confident is these are long-term infrastructure partnerships that we are building with banks and with retailers. Today for a bank and a retailer to replace or displace Pine Labs is a nine months effort. So honestly for us in our business to be able to see how the revenues are going to come through over the next nine months period it is a very easy task there in front of us. As I told you like a few percentage point here and there will move around but a large revenue miss, I do not see happening in this business purely because we are able to see at least nine months in advance how that revenue pool is going to move around.

Moderator: Thank you. Our next question is from Ramesh Shah, an investor. Please go ahead.

Ramesh Shah: Hi Amrith. Congrats on very good numbers, I must say. Coming to the question, I wanted to understand if you have any thought process on entering the crypto game? That is the first one.

Amrith Rau: Ramesh, I have to say that, investors always challenge us with questions which we have not been prepared for. So I am actually very happy to take up this question. Ramesh, answer around crypto is a very clear no. We have no interest in getting into crypto-related services. However, what is happening around stable coins is so exciting today when it comes to international markets. See, I will explain this in very simple words. When it comes to UPI, faster money movement has already been taken care of in India. So there is no problem when it comes to me sending money to you or me sending money to a merchant because of the UPI infrastructure. Globally, that is a pain point and stable coins is definitely solving for that. So we are getting to see stable coin coming up in areas for faster movement, may that be in person-to-person, person-to-merchant, or when it comes to bulk remittances-related services and I find that to be a very exciting area that is point number one. But point number two, which is equally exciting is in terms of what is going to happen in terms of programmable money. What I mean by programmable money is a certain amount of money can be used only for a certain related services. Now that is a very interesting space where

you can actually define where does this money go and that programmability of money is what Stable coin is allowing you to solve for. We are actually fully ready with our infrastructure platform where on a stable coin-based account or a stable coin-based wallet, a prepaid card with a Visa or a Master logo can get delivered in global markets. So for example, if there is a bank in UAE, which wants to deliver a stable coin backed prepaid card, we have developed the entire backend platform for that. It is a bank's business, bank will get the consumer, but all the technology-related services getting paid on per transaction basis, our infrastructure is fully ready. We are going to be starting in the next one month actually sales activities to get more clients on the stable coin backed prepaid platform for us. So short answer to you is not in crypto, but stable coin is a very exciting area. However, largely, not largely, entirely in global markets and nothing

to do with India.

Ramesh Shah: Thank you. Second, are we planning any fundraising anytime soon?

Amrith Rau: No, we have no interest in raising funds. We are in a very comfortable position.

Sameer Kamath: So, Ramesh, as we have put in the presentation, we have Rs.2700 Crores of cash. We also are organically generating free cash flows and I think where we stand today, we are quite healthily capitalized for all the growth initiatives we have in mind.

Ramesh Shah: Any explosive kind of growth that can happen in near future because of VAS services picking up or while monetizing our digital infra that we have created over the years?

Amrith Rau: Look, we continue to add newer flow-based services and revenues. I mean, I have to say that it is every founder CEO's dream that we are going to find a blinkit within our business, but not something which I am ready to talk to on an investor call. Thanks Ramesh.

Ramesh Shah: Last but not the least, today, if you are going to issue some ESOP shares, what price will you issue them to your employees?

Amrith Rau: Again, that is something that we have spoken quite clearly to the market. We have taken a policy where we are going to issue out ESOPs today in the range of where the current FMV is. There might be small ESOPs which will be a deep discount, but that will be very, very small and in between, but

largely we are going to be, in fact, all through FY2026 also, all the ESOPs which we had issued have

been at FMV or near to FMV and not at a deep discounted level.

Ramesh Shah: Can you please share the FMV?

Moderator: Mr. Shah, I am sorry. May we request you to return to the queue? There are several participants.

Amrisha Rau: FMV is not something which we can calculate as per what the current stock price is, Ramesh.

Sameer Kamath: It is based on the three month market rate. It is driven by that, so it will be more to the market price.

Moderator: Thank you. Our next question is from Vijit Jain of Citi. Please go ahead.

Vijit Jain: Yes, hi Amrisha. So thanks for the additional color. A lot of additional color you provided on this call.

One question I have on the OMC business. So you have said 130,000 terminals by end FY2027 and

Amrisha I think I caught you saying 50,000 terminals deployed right now, so we are looking at 80,000 net new additions just from the three OMCs account, is that how I should think about it?

Amrisha Rau: Vijit, it is 50,000 pumps and it is about 130,000 POS machines out there. We have started in phase wise taking over this. Right now, what I can tell you is we are from what we project to be the steady state, we have deployed up to about 50% and when I say deployed, I am talking in terms of volumes that we started to already capture, it is 50% of what we believe the steady state number as far as OMC is concerned. It is actually changing on a monthly basis, but as we speak, it is at about 50,000. It is at 50% of the steady state number.

Vijit Jain: I see. So 130,000 is not currently deployed right now?

Sameer Kamath: It is in the process of deployment.

Amrisha Rau: But yes, it is not been fully deployed, Vijit. The second piece to it is even, let us say, so when I am saying 130,000, when I am saying 50% of the volume which has come in, let us say we would have deployed 80,000, but 65,000, 80,000, 15,000 transactions have not started to take off, transactions might be taking off in the next few months out there, so actual deployment would be higher than

50%, which has already been completed. Volumes that we are getting is about 50% of what we believe it will be when we reach the full 130,000.

Vijit Jain: Understood, Amrisha and Amrisha, there was another, and I think you alluded to it just now, there was another comment in the letter which said, you now have 50% market share in fuel retail outlets. So I think my broader question here was, so when you get to that level of processing 50% of

digital payments in fuel retail outlets, are there, material new value added services opportunities that you have a line of sight that you can unlock and if you can, give a broad scale or any flavor on what those could be. You know when you have that kind of scale in this that you can unlock that. That is my second question on this and then I have an additional question on gift card business?

Amrisha Rau: So, Vijit, let me give you a background. In fact, the petroleum segment business for Pine Labs is one of the oldest businesses for us and there we do everything from fuel pump automation. So, I will break it up into two parts. One is the forecourt, which you have out there, the forecourt controller, the integration into the forecourt controller platform. That is one of the services that we do. Second is purely in terms of payment and payment infrastructure deployment. That is second area. Third is based on the payment infrastructure, what is the transaction based revenues or flow based revenues? That is the third area that we make revenues in. Fourth is what we do is the loyalty -related services. So for example, with Indian Oil, we have already announced this. The Indian Oil loyalty card, the extra power loyalty card of Indian Oil, for the next five years, the entire end-to-end management of that product is going to be done by us with the loyalty -related services that we have taken over for Indian Oil and then fifth is even now as we are that there are newer tenders which are coming up for newer services as IOT gets implemented. IOT -related newer tenders which are coming up from these OMCs, we are bidding for those. So there are multiple revenue lines which we have from OMCs. Again these are the kind of nuances which we are not able to explain very well is when you come to an OMC it is not just about just the terminal it is a multiple services that we do and the similar thing which we are doing for other segments also it is not just the device or the terminal that we are deploying but you are right it is a multiple revenue stream that we have from these OMCs.

Amrisha Rau: By the way, Vijit, I will give you an answer on this extra power one because it is an L1 tendering, it is an open number out there which is Rs.60 Crores contract. It has nothing to do with terminals, by the way. Purely in terms of managing this, it is Rs. 60 Crores to Rs.65 Crores kind of a revenue business for a five -year period, where we are basically taking over the loyalty program out there. As I said, it is an L1 tendering, so it is an open number. That is why I am just explaining that number in detail.

Vijit Jain: Understood, Amrish and Amrish, how much of this would be driving the growth acceleration from 19% to, let us say, a midpoint of 22% that you are guiding for?

Amrish Rau: Again, that is a good question out there. I am just doing a quick, I would say almost like 30 to 40 basis points would be because of this deal that we have already bagged.

Sameer Kamath: The answer we gave you of 2% to 3% incremental growth in one of the earlier participants, some of these like the mid market segment where Amrish was saying we are getting more visible on the street, there are some segments, OMC contract, all of this are giving us the confidence for the 2% to 3% incremental growth over what we are already doing.

Vijit Jain: Understood, Sameer. Thanks. My second question is, on the gift cards business, Amrish, you said somewhere in between that when you do distribution and gift cards, and I think Sameer, you said that as well, it is lower CM, but it is absolutely EBITDA accretive. Did I understand that right? Then, if I know this right, distribution is mostly in your India gift card business you do less of distribution in international and so from that whole IAP segment point of view, is it right that if you do more of distribution in India, it is contribution margin dilutive. International

al is more contribution margin

dilutive and the rest of your gift cards business is at a higher margin level. Is that what is going on here?

Amrish Rau: I will let Sameer answer in detail, but I want to just highlight number. In our entire revenue numbers, distribution is the only number which is at a gross revenue level purely because of accounting policies. Everything else is 100% net revenue. So that is just at a high level. Sameer, you want to go through the next detailing?

Sameer Kamath: Just a couple of questions Vijit to set the context. See distribution and processing we do are not two separate businesses that is an integrated offering we give the brand. So if a brand comes to us, for example, XYZ brand comes to us, they do not come to us to say only, okay, process my backend prepaid card. We actually come to us with a solution saying, listen, we can help you acquire customers because creating a wallet and creating a prepaid card helps you retain, acquire and grow customers and kind of create a lifetime value for that customer. Now to do that, we have to do a great institutional grade processing. Now obviously in processing the large part of the cost is your tech cost, AWS cost and people cost so that sits below the contribution margin therefore the flow through on processing is almost 95% to 98%. On distribution there is no incremental cost. The only cost is either what you do yourself or what you do to your partners, whether to share some part of the listing fees or something like that. Now that business fuels two things for us. A, makes us an attractive program manager for the brand who looks not just at the backend part, but as a solution to acquire customers and B, it also helps us improve our processing because with that, edge we can also multiply the processing efficacy which comes out of it and therefore if you see this integrated business model differentiates us versus just someone who is on either the distribution side or on the processing side. Having said that given that our traditional market when we started this business was in India, we have been able to build a very strong market share across distribution and obviously a very high market share on processing given that we are a preferred partner here. In the international market also which is growing at 44% for us as we have shown in the presentation, we started out by processing for few brands like we have given out some guidance earlier that we had Woolworths, with certain airlines, etc., but now we are also building distribution progress because that is an integrated offering again that brand look for. So as we are, stronger on distribution side here, but we are definitely growing traction on the distribution as far as the international markets are concerned. Look at this business as an integrated offering where at the CM level, you might see some changes, but at a flow through level, you will see it slightly differently and that is what my, my guidance to the street would be look at this as an integrated model and not like two separate businesses running within one.

Vijit Jain: Makes complete sense, Samir. Thanks for that. That was very clear. I have just one last question. There were two comments on non-electronics and affordability piece in the presentation I think you have said somewhere that it grew 40% and somewhere that 60% Y-o-Y growth in volumes, so

is that broadly right 40% growth in value in non-electronics affordability and 60% in terms of volumes?

Sameer Kamath: No, I think what is guided is that the full year number is 60%. Last quarter was about 40% to 45%. What we wanted to say is on a full year basis, this category, as Amrish said at the beginning of the call, is growing significant traction and as Amrish said, some sectors and subsectors will keep going through pluses and minuses. Our job is to get, see affordability is probably 10% to 12%

penetration o

f the total GDV in the market. So there is a significant headroom for growth here. If you look at it, our job.

Amrisha Rau: Sameer, I am going to stop you out there and I just want to say, so this is an important point which I wanted to just highlight out there. We think the affordability -based segment, we are playing in a market which is less than 10% as of now. I think there are lots to go and I will give you some more color on it. What we are doing is when the consumer walks into the store, consumer already has a credit line. There is a massive segment which, for example, the Bajaj Finance of the world go after is where they deliver new credit at the point of purchase. So may that be a PL or a consumer durable loan. That is a segment which we are today not covering because we do not have enough NBFC coverage out there. That is one. Second is there is a post purchase installment payments program also which happens out there. That is a second piece which one needs to cover for. Third is a classic PL, where somebody is saying, what, I am doing a renovation of the house I am taking a Rs.3 lakh loan I am going to spend two and a half on the house, but I am going to do Rs.50,000 for white goods out there. All of these areas, we are not even playing in that area yet. I think the affordability segment is much broader than just this one area. Second is when I say affordability, today we look at it purely on the lending side, but there is lending, there is insurance, there is trade in, there is early buybacks, all of those services also which gets clubbed on that affordability side. Sorry, Sameer, you can continue.

Sameer Kamath: No, I think Amrisha, you covered it. So what I wanted to say is that all of this blended put together contribute to how we grow in that segment and therefore, this call out that we have done of newer categories that we are bringing in, Amrisha mentioned EVs and others, is what is driving and giving us confidence on our directed growth, which is there in that segment.

Vijit Jain: Got it Sameer. Any broad number you can give on what is non-electronics right now, just in terms of scale relative to electronics?

Sameer Kamath: We do not give individual segment cuts, Vijit, but what you have to know is that.

Amrisha Rau: Vijit it is small, I would say it is less than 5%. Okay. But that is the reason why we called it out also in that note out there. We want to invest there.

Vijit Jain: Got it. Understood. Thank you so much.

Amrisha Rau: In online also, by the way. By the way, when I say affordability, it is not just offline. We do a lot of affordability in the online segment also. I think in the online segment, there is a larger market to capture, not necessarily in CDIT, but also in the non-CDIT segment.

Vijit Jain: Understood. Thank you so much. Those were super helpful. Best of luck for the rest.

Moderator: Thank you. Our next question is from Aryan Tripathi of Emkay Global. Please go ahead.

Aryan Tripathi: Good morning. So, congratulations on a good set of numbers. My question is directed towards the affordability business. Historically, we have struggled to convert accrual profits into cash profits, primarily due to the heavy net working capital requirements in the affordability segment. This quarter, however, marked a sharp trend reversal. My understanding is that we have resorted to bill discounting that has improved the receivables collections, driving Rs.202 Crores in early settlement related cash inflows this quarter. This resulted in a strong EBITDA to OCF conversion of 71% for the fiscal but the tradeoff has been that we have lower take rates in the affordability business. From my calculations, the take rates were as high as 35 bps in the quarter before and now it has gone down to 30 bps. And so my question is that, is this the new normal for the affordability business? Is 30 bps take rate and a shortened working capital cycle

from a 60 -day

cycle to now a 45 -day cycle, is this the new normal? And if the working capital cycle is going to shorten further, can the take rates be maintained at 30 bps?

Amrisha Rau: Aryan, I am going to let my CFO answer this question but as the CEO, I want to give you a general direction. I think the street has told us very clearly, saying that they do not necessarily like the fact that our working capital is getting bloated and we have taken note of that and that is exactly what

we have tried to solve for it because obviously, the messaging has been very clear to us. Now, we have been very clear to you also is that by making those changes, is that going to have a material impact on our financials? The answer is no and that is something that we wanted to show the street very clearly. So yes, you are right in what you are pointing out there. Now, is that impact going to be 35 basis or 30 basis? Honestly, that is not how I run the business but Sameer, if you have any color to give.

Sameer Kamath: I have a clear answer, Aryan. Thanks for this. I think very detailed work on asking this question. Two

things here. Our working capital was typically in the range of 14% to 15% and we have remained in that range as far as working capital beyond the early settlement is concerned and that is what we have guided and that is what we have told the street as well. Last year when the working capital last quarter it at 22% we had explained it is cyclical to festivity and it will normalize on a full year basis, we have delivered that. That has come through multiple things. Certain onetime reversals that happened because of Q3 obviously that panned out as we had explained to the street. Second there has been a serious drive on collections efficiencies, working capital all of that so that has contributed to a working capital efficiency not at just at an early settlement level but beyond that as well. Coming to early settlement there are two things here. One there is a cost associated with this, which is typically, we are taking some of this to off balance sheet. As Amrishi said, we want to do that but on a full year basis, we have grown that business and you have seen on a full year basis, in one quarter, you would have seen a reversal because we focused on closing out a lot of clients, etc., on the factorization side. But on a full year basis, you see that is also contributed. So if you see in the Rs.400 Crores, there has been an incremental deployment in ICB as well. Does that impact our business in a way? The answer is no. Answering to your question on take rate, see, the flow business take rate of 30 bps is a factor of multiple line items of revenue. It is not just about affordability. If you look at pure affordability, our take rates are quite stable and strong. There are other things like UPI, there is DCC, etc., some of which was slightly impacted because of travel restrictions, etc., so if you look at it as a subset, you see that as a trended lower number, but that is an aggregation of multiple line items, not necessarily about affordability. Our affordability take rates continue to remain extremely strong.

Aryan Tripathi: So we can see the take rates going back up to 35 bps.

Amrishi Rau: It is a mix. So I will tell you, it is a mix. It depends where the mix lands up to be very candid about it. Like for example, UPI volumes go up and the take rate goes down. You will see the take rate as a mix changing. So it is very difficult to guide, but intra segmental yields, as we are saying, remains very strong and no pressure on that at all because of ICB or otherwise.

Aryan Tripathi: But is bill discounting going to be a quarter specific thing for this quarter?

Amrishi Rau: No. It is a program that we are running. In fact, we have to onboard a lot of brands. It requires a lot of collaboration with banks and brands. It is not automatic because you have to work with them

on documentation closures and all. I think we have had a great push and I think this is not going to take away all of our ICB balances, but yes, it is going to be a program and not a onetime activity. It is a program that we are running. We have just accelerated it through our conversations with brands and banks to get it on this platform.

Aryan Tripathi: Sure. Thanks for that. Just a housekeeping question. I see that there is a Rs.111 Crores financing cash flow related to the bill discounting number, but I see no spike on the financing cost despite that. So are the affordability revenues being recognized on a net basis already adjusting for the interest expense related to the bill discounting or is it or is there something else that is going on?

Amrishi Rau: There is no change in the accounting. It is consistent with what we are doing. The source of financing can change whether it is that. I think we charge tech fees and all of these are our internal working capital requirements which are there. So there is no change in the accounting because of this change other than what is seen in the balance sheet because of factorization.

Aryan Tripathi: Thank you. Thanks a lot.

Amrishi Rau: Inba, there are a bunch of questions on the chat box, which a lot of it is already answered, except one from Arvind, if you can take that, please.

Moderator: Sure, I will just read it out. The question is from Arvind Arora. His question is GDV growth is around 50% whereas revenue growth is around 19%, so is there headroom to increase monetization?

Amrishi Rau: The short answer is yes. So as we have explained this before, our revenue models vary by the segment that we play in. In some cases, it is purely based by the number of transactions. In some

cases, it is on the value which is associated to that transaction. Our constant endeavor is to obviously get to more value-based revenue coming to us. So yes, again, the short answer is yes, there is a place for us to cover that gap.

Sameer Kamath: Arvind, also to add to what Amrishi said, if you see the layers on value pools that we build out, it actually covers that quite well. The distribution layer is largely a linear layer where almost all of our revenues are recurring in nature. In fact, one important number for you guys to know what are most of our revenues are all recurring in nature and the base layer is largely MSF, which is rentals. Now we are getting to monetize GTV. So you can see the volume of throughput, which is 50% growth, our revenue growth of 19%. A large part of the incremental data will come from the fact

that we are monetizing GTV through multiple cohorts of revenue we have within the flow and affordability business. So the answer to that is very clearly, yes.

Moderator: Thank you. That was the last question. I would now like to hand the floor back to Mr. Amrish Rau for closing comments.

Amrish Rau: Thank you very much for taking this call early in the morning. I hope we have been able to give more color on our business. Both Ritesh and Sameer are available for further conversations over the next few quarters. Thank you very much.

Moderator: Thank you, Mr. Ra u and thank you, Mr. Kamath. Ladies and gentlemen, on behalf of the entire Pine Labs leadership team, we would like to sincerely thank you for taking time to join us today and for your continued interest and support of Pine Labs. If you have any follow up questions that were not addressed during today's call, please feel free to reach out to our Investor Relations team and we would be happy to assist you. This concludes today's call. We wish you have a pleasant day ahead. Thank you everyone. Goodbye.